



**INSURANCE AND PENSIONS COMMISSION**

# **PENSIONS INDUSTRY REPORT**

2nd Quarter ended 30 June 2019

2019



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**Furthermore, care should be taken when reading comparative monetary figures within this report given that comparative monetary figures from 2018 were denominated in US\$ while figures for 2019 are denominated in ZWL\$.**

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## **Definition of Terms**

**Insured Fund** – A fund under the administration of an insurance company, whose contributions are used to buy assets which are registered in the name of the insurer, charged with the administration of the fund and not in the name of that fund.

**Self-Administered Fund** – For the purposes of this report, self-administered funds are those under dedicated fund administrators and insurers but their assets are registered in the respective names of the funds.

**Stand-Alone Fund** – These are self-administered funds which own and control their administration structures (having own employees) for the purpose of operating the fund.

**Pension Fund member** – in relation to a fund, means any person who is a member of that fund in terms of the rules thereof.

**Active member** – Members of a fund who are actively contributing to the fund, including those on contribution holiday for a period of time.

**Pensioner** – a person in receipt of pension benefits from a pension fund.

**Deferred Pensioner** – A member whose pension benefits are preserved within the fund until the member attains the retirement age.

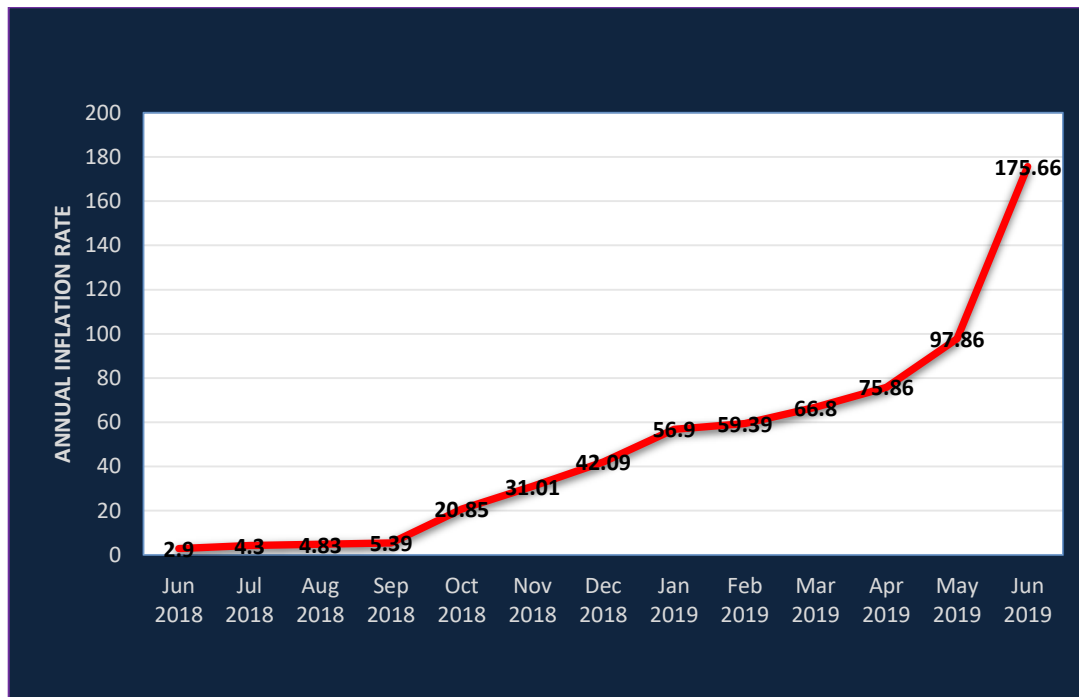
**Suspended pensioner** – A pensioner whose pension benefits are withheld by the pension fund on account of not providing proof of his/her existence.

**Members with unclaimed benefits** – Members of a fund who have not claimed their benefits when they were entitled to receive such benefits and cannot be located by the fund.

## 1 MACRO-ECONOMIC DEVELOPMENTS

- 1.1 The inflationary pressure that has been building up since October 2018 to the end of June 2019, continues to erode values within the pensions industry. Inflation increased to 175.66% from 2.90% for the same period during the previous year. The inflation trend is depicted in Figure 1 below.

**Figure 1: Inflation Trend**



Source: RBZ

- 1.2 The gazetting of Statutory Instrument 142 of 2019 put on hold the setting up of USD-denominated funds, initiatives which were being pursued mostly by NGOs with access to free funds.

## 2 REGULATORY DEVELOPMENTS

- 2.1 During the 6 months ended 30 June 2019, the Commission issued the following circulars to the Industry;

**Table 1: Circular Issues during the 6 months ended 30 June 2019**

| Document           | Release Date   | Content                                                                                                                              |
|--------------------|----------------|--------------------------------------------------------------------------------------------------------------------------------------|
| Circular 1 of 2019 | 3 January 2019 | Currency of payment for levies                                                                                                       |
| Circular 2 of 2019 | 4 March 2019   | Reporting guidelines for insurance companies and pension funds after 20 February 2019 Monetary Policy Statement.                     |
| Circular 3 of 2019 | 12 March 2019  | Requested compliance plans for new minimum prescribed asset thresholds.                                                              |
| Circular 4 of 2019 | 8 April 2019   | Guidelines for the transfer of assets and liabilities in terms of Section 27 of the Pension and Provident Funds Act [Chapter 24:09]. |
| Circular 6 of 2019 | 7 May 2019     | Requested submission of a quarterly schedule of members with unclaimed benefits and their liabilities.                               |

### **3 MARKET CONDUCT**

**3.1** During the quarter ended 30 June 2019, the Commission received 126 complaints, of which 120 were resolved. The six cases that remained outstanding related to non-remittance of contributions by employers and low values following the conversion from Zimbabwe dollar to the United States dollar in 2009.

**3.2** In general, complaints and challenges in the pensions industry in the period under review related to:

- i. Low values caused by hyperinflation and dollarisation in February 2009;
- ii. Non-payment of pension benefits;
- iii. Contribution arrears mostly since 2009;
- iv. Change of benefits from US dollar to RTGS in June 2019;
- v. Poor communication between members and their respective funds;
- vi. Lack of expertise on the part of trustees to safeguard member interests; and
- vii. Late payment of benefits.

**3.3** The Commission also continues to implore pension funds to rigorously pursue sponsoring employers with outstanding contributions to put in place solid payment plans to alleviate the plight of pensioners.

**3.4** Pension fund members are also encouraged to check their pension status by requesting annual benefits statements where these have not been availed, pester their trustees to ensure that the employer is remitting to the fund or approach the Commission, should they face challenges.

**3.5** Other complaints related to delays in processing of benefits by pension funds, mostly owing to inadequate information on the part of beneficiaries. In view of this, the Commission advises fund members to update their records regularly, particularly on beneficiaries and contact details.

**3.6** Pension funds should communicate regularly with the fund members to ensure that they remain up to date with developments in the industry in general and the fund in particular.

**3.7** The Commission continues to educate members of the public on their rights as pension fund members and where to turn to, in case of disputes with service providers.



## 4 INDUSTRY OVERVIEW

The key performance indicators for the pensions industry as at 30 June 2019 were as shown in Table 2.

**Table 2: Key Highlights of the Pensions Industry as at 30 June 2019**

| Indicator                                      | Insured Funds | Self-Administered Funds | Stand-Alone Self-Administered Funds | Total         |
|------------------------------------------------|---------------|-------------------------|-------------------------------------|---------------|
| Number of Funds                                | 905           | 169                     | 16                                  | 1,090         |
| Active funds                                   | 375           | 138                     | 16                                  | 529           |
| Members <sup>1</sup>                           | 341,895       | 120,378                 | 336,127                             | 798,400       |
| Share of total membership                      | 42.83%        | 15.07%                  | 42.09%                              | 100.00%       |
| Total Income (\$)                              | 203,039,977   | 944,490,863             | 203,294,451                         | 1,350,825,291 |
| Total Contributions (\$)                       | 50,212,400    | 73,554,154              | 87,843,031                          | 211,609,585   |
| Rental Income (\$)                             | 73,585        | 4,887,515               | 23,796,326                          | 28,757,426    |
| Investment Income <sup>2</sup>                 | 153,888,041   | 759,080,151             | 79,031,941                          | 992,000,133   |
| Investment Income over total assets            | 8.74%         | 24.89%                  | 3.54%                               | 14.08%        |
| Total Expenditure (\$) <sup>3</sup>            | 45,349,177    | 73,685,606              | 72,727,849                          | 191,762,631   |
| Total Benefits paid (\$)                       | 41,270,658    | 51,673,460              | 45,668,186                          | 138,612,304   |
| Average monthly pension benefits per pensioner | 164.69        | 124.38                  | 163.90                              | 156.01        |
| Expenses/Contributions <sup>4</sup>            | 7.48%         | 28.50%                  | 29.54%                              | 23.94%        |
| Expenses/Total Income <sup>4</sup>             | 1.85%         | 2.22%                   | 12.76%                              | 3.75%         |
| Income Surplus(Deficit)                        | 157,690,799   | 870,805,258             | 130,566,602                         | 1,159,062,659 |
| Total Assets (\$)                              | 1,761,722,988 | 3,049,690,644           | 2,231,601,210                       | 7,043,014,842 |
| Total Assets per member                        | 5,143         | 25,334                  | 6,639                               | 8,821         |
| Percentage of Total Assets                     | 25.01%        | 43.30%                  | 31.69%                              | 100.00%       |
| Prescribed Assets (\$)                         | 173,840,663   | 256,323,758             | 80,454,278                          | 510,618,699   |
| Prescribed Assets Ratio                        | 9.87%         | 8.40%                   | 3.61%                               | 7.25%         |
| Contribution Arrears (\$)                      | 46,467,192    | 81,149,953              | 527,389,157                         | 655,006,302   |

Notes:

1. Total membership excludes fund beneficiaries (widows and orphans of members).
2. Total Investment income is made up of rental income, dividends, interest on investments, profit on disposal of assets and fair value gains.
3. Total Expenditure for the industry includes benefits paid, transfer to reserves, revaluation losses and provisions.
4. Expenses are calculated as total expenditure excluding items such as expenditure on benefits, transfers to reserves and revaluation losses.

As shown in Table 2 above, there were 1,090 registered occupational pension funds as at 30 June 2019, increasing from 1,088 registered funds as at 30 June 2018. The increase was mainly due to the correction of insured funds data by one life assurance company, who was not reporting information on some of their funds, which were inactive.

The 1,090 pension funds as at 30 June 2019 were composed of 1,052 defined contribution schemes and 38 defined benefit schemes.

Of the registered funds, 529 were active, which constituted 48.53% of the total number of funds. There were 561 inactive funds, 530 being insured funds, which were deemed to be in paid-up status or undergoing dissolution. The Commission continues to assess the financial soundness of all inactive funds and will consider corrective action that may include enforcing their dissolution, where the costs of operating the fund outweigh the benefits accruing thereto.

#### **4.1 Membership**

The total membership for registered occupational schemes was 798,400 as at 30 June 2019, increasing from 793,618 members reported as at 31 March 2019. The increase was mainly a result of new entrants totalling 9,385 members for the quarter. The breakdown of membership as at 30 June 2019 and 31 March 2019 is shown in Table 3 below:-

**Table 3: Quarterly Breakdown in Membership**

| Membership type                                   | Membership as at ... |                |
|---------------------------------------------------|----------------------|----------------|
|                                                   | 30 June 2019         | 31 March 2019  |
| New Entrants                                      | 9,385                | 3,905          |
| Actives                                           | 325,484              | 325,094        |
| Pensioners                                        | 37,031               | 38,093         |
| Deferred Pensioners                               | 356,477              | 359,563        |
| Suspended Pensioners                              | 17,865               | 18,137         |
| Unclaimed Benefits                                | 52,158               | 48,826         |
| <b>Total Membership (excluding beneficiaries)</b> | <b>798,400</b>       | <b>793,618</b> |
| <b>Beneficiaries</b>                              | <b>16,792</b>        | <b>14,209</b>  |
| <b>Total Membership (including beneficiaries)</b> | <b>815,142</b>       | <b>807,827</b> |
| <b>Exits</b>                                      | <b>5,505</b>         | <b>10,074</b>  |

## 4.2 Asset Quality

The industry asset base increased by 30.86% from \$5.38 billion as at 31 March 2019 to \$7.04 billion as at 30 June 2019. The increase was mainly due to an increase in the values of investment property and listed equities. Investment property increased from \$1.27 billion as at 31 March 2019 to \$2.05 billion as at 30 June 2019, while listed equities increased from \$2.40 billion as at 31 March 2019 to \$3.03 billion as at 30 June 2019. The increase in investment property was mainly due to revaluations of property values from US\$ values to ZWL\$ after the February 2019 Monetary Policy Statement, while equities values increased as a result of a “bull run” on the Zimbabwe Stock Exchange during the quarter under review.

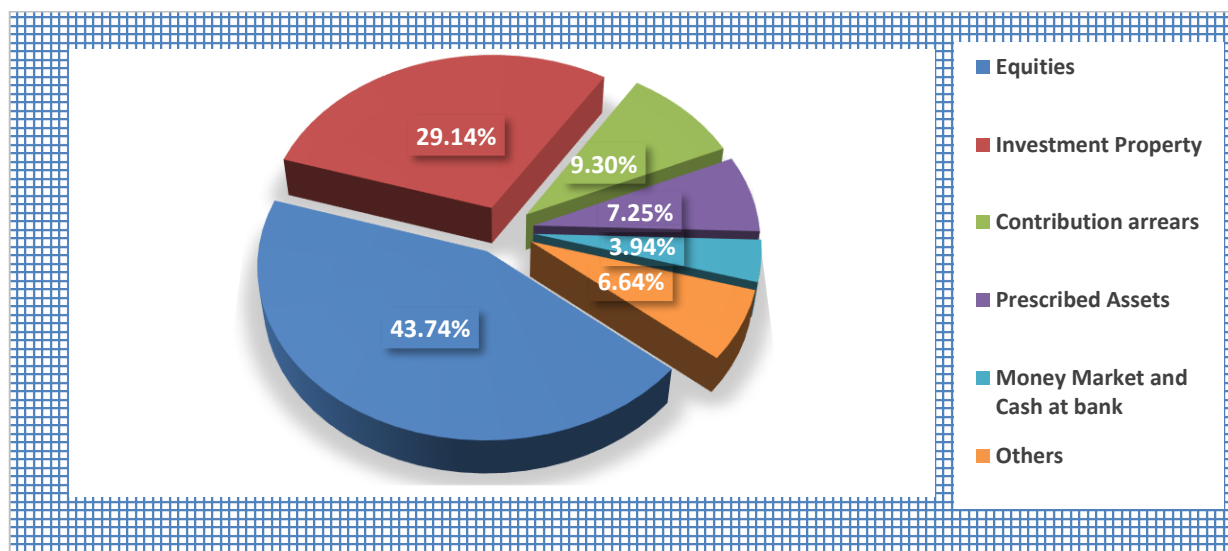
The industry's asset base as at 30 June 2019 translated to an average capital accumulation of \$8,821 per member. The trend of the asset base from 31 March 2017 to 30 June 2019 is shown in figure 2 below.

**Figure 2: Trend in Industry Assets Growth**



Figure 2 above shows a nominal growth in the asset base of the pensions industry from 31 March 2017 to 30 June 2019. The distribution of the industry's assets as at 30 June 2019 is shown in figure 3 below:-

**Figure 3: Distribution of Pension Industry Assets as at 30 June 2019**



As shown in figure 3 above, equities investments and investment property accounted for 72.88% of total industry assets as at 30 June 2019. The two asset classes totalled \$5.13 billion and are viewed to be long-term hedges against inflation.

Contribution arrears continued to be a problem for the industry and totalled \$655.01 million, accounting for 9.30% of the total asset base for the industry. The contribution arrears increased from \$627.02 million reported as at 31 March 2019. During the quarter ended 30 June 2019, the Commission requested trustees of funds with the highest levels of contribution arrears to submit turn around strategies for the funds including proposals for reducing the arrears in line with the provisions of Section 19 (1) (a) of the Pension and Provident Funds Act [Chapter 24:09].

The prescribed asset ratio as at 30 June 2019 was 7.25% and was lower than the 10% regulatory minimum. Table 4 below shows the amounts and compliance levels for prescribed assets from 31 March 2018 to 30 June 2019.

**Table 4: Compliance levels for prescribed assets**

| Date              | Amount Invested  | Compliance Level |
|-------------------|------------------|------------------|
| 31 March 2018     | \$306.93 million | 7.39%            |
| 30 June 2018      | \$323.04 million | 7.37%            |
| 30 September 2018 | \$434.87 million | 9.35%            |
| 31 December 2018  | \$325.65 million | 6.24%            |
| 31 March 2019     | \$393.91 million | 7.32%            |
| 30 June 2019      | \$510.62 million | 7.25%            |

### **4.3 Liabilities**

Arrear pension benefits totalled \$77.77 million as at 30 June 2019, marginally increasing from \$74.91 million reported as at 31 March 2019. The arrears were reported by funds with liquidity challenges and high levels of contribution arrears. Unclaimed benefit liabilities increased from \$24.94 million as at 31 March 2019 to \$33.75 million as at 30 June 2019. The Commission is engaging in public awareness campaigns and promulgating data management standards for the industry to reduce unclaimed benefit liabilities in the long-term.

### **4.4 Earnings**

The industry reported a surplus of \$1.16 billion for the 6 months ended 30 June 2019. The surplus was higher than the \$121.02 million reported for the same period in 2018, and was mainly driven by fair value gains totalling \$828.74 million for the quarter under review. The fair value gains were mainly due to a bull run on the Zimbabwe Stock Exchange during the quarter under review. It is, however, important to note that fair value gains may be temporary and vulnerable to movements on the Zimbabwe Stock Exchange.

The fair value gains resulted in the industry reporting total income of \$1.35 billion for the 6 months ended 30 June 2019.

Total industry expenditure amounted to \$191.76 million, increasing from \$167.65 million for the same period in 2018. The expenditure was mainly attributable to member benefits totalling \$138.61 million, accounting for 72.28% of the industry's total expenditure.

Administrative expenses (excluding revaluation losses, transfer to reserves and other provisions) totalled \$50.66 million for the period under review. The administration expenses resulted in average expense ratios of 23.94% and 3.75% to total contributions and total income respectively, compared to 19.13% and 11.24% respectively for the comparable period in 2018.

The Commission is investigating expenses related to fund administration and preparing minimum disclosure requirements for expenses, which are meant to manage undesirable levels of administration expenses.

## 5 INSURED SCHEMES

### 5.1 Sector Architecture

There were 6 life offices insuring 905 pension funds as at 30 June 2019, increasing from 900 as at 31 March 2019. The increase was mainly due to the reporting of funds previously omitted by one life assurer from their quarterly returns. The Commission is greatly concerned about data integrity within the industry and will invoke penal measures in line with the provisions of Section 34 of the Pension and Provident Funds Act [Chapter 24:09] on entities who file incorrect returns.

The distribution of the pension funds among insurers as at 30 June 2019 and 31 March 2019 is shown in Table 5 below.

**Table 5: Distribution of Insured Pension Funds**

| Life Assurer      | 30 June 2019 | 31 March 2019 |
|-------------------|--------------|---------------|
| CBZ Life          | 3            | 3             |
| Fidelity Life     | 71           | 71            |
| First Mutual Life | 193          | 181           |
| Old Mutual Life   | 324          | 331           |
| ZB Life           | 151          | 151           |
| Zimnat Life       | 163          | 163           |
| <b>Total</b>      | <b>905</b>   | <b>900</b>    |

It is important to note that funds administered by Old Mutual Life Assurance Company decreased from 331 funds as at 31 March 2019 to 324 funds as at 30 June 2019 on account of the dissolution of some funds under their purview. Furthermore, although there were 905 insured funds, there were only 375 active funds, which constituted 41.44% of the total insured funds. Some of the inactive funds have been earmarked for dissolution.

## 5.2 Membership

Membership for insured funds was 341,895 as at 30 June 2019, increasing from 339,660 as at 31 March 2019. The increase in membership was mainly due to new entrants totaling 3,836 members, which outweighed the exits. The breakdown of membership for insured funds as at 30 June 2019 and 31 March 2019 is shown in Table 5 below.

**Table 5: Insured Funds Membership**

| Membership Class                        | Number of members as at... |                |
|-----------------------------------------|----------------------------|----------------|
|                                         | 30 June 2019               | 31 March 2019  |
| New Entrants                            | 3,836                      | 1,640          |
| Active Members (Excluding new Entrants) | 105,065                    | 104,787        |
| Pensioners                              | 8,143                      | 8,163          |
| Deferred Pensioners                     | 220,437                    | 221,534        |
| Suspended Pensioners                    | 1,510                      | 1,531          |
| Members with unclaimed Benefits         | 2,904                      | 2,005          |
| <b>Total</b>                            | <b>341,895</b>             | <b>339,660</b> |
| <b>Exits</b>                            | <b>2,041</b>               | <b>6,849</b>   |

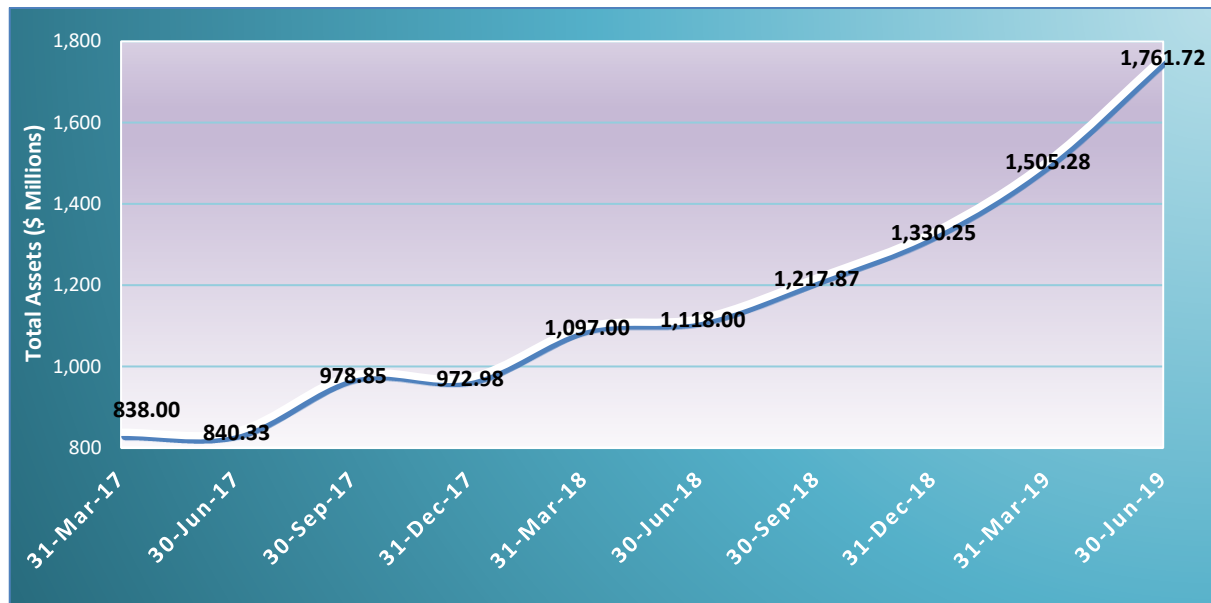
## 5.3 Asset Quality

Insured funds reported assets totalling \$1.76 billion as at 30 June 2019, constituting 26.25% of the industry's total assets. The asset base as at 30 June 2019 reflected a 16.56% increase from \$1.51 billion as at 31 March 2019. The increase in the asset base was mainly due to an increase in investment property from \$255.45 million as at 31 March 2019 to \$619.14 million as at 30 June 2019. The increase may be due to the revaluation of investment property by insurers.

The growth of insured fund assets from 31 March 2017 to 30 June 2019 is shown in figure 4 below.

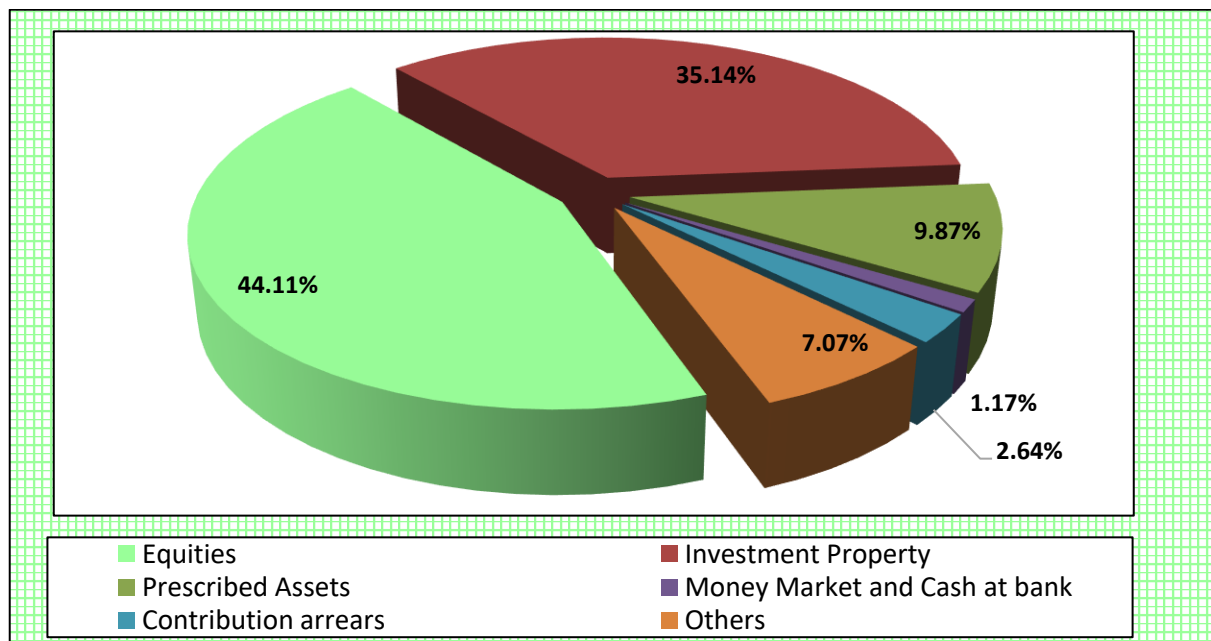


**Figure 4: Growth of insured fund assets**



As at 30 June 2019, the asset base for insured schemes was skewed towards equities and investment property, which accounted for a combined total of \$1.40 billion, constituting 79.25% of the total asset base as at that date. The balance of \$0.36 billion, representing 20.75% of insured funds' total assets was invested in various other asset classes as shown in Figure 5 below.

**Figure 5: Composition of Insured fund assets as at 30 June 2019**



As depicted in figure 5 above, investments in prescribed assets totaling \$173.84 million constituted 9.87% of the sector's total asset base as at 30 June 2019. The prescribed asset ratio as at 30 June 2019 was below the regulatory threshold of 20%. The Commission encourages insurers to be compliant with minimum prescribed asset ratio requirements.

## **5.4 Earnings**

Insured schemes reported total income amounting to \$203.04 million and total expenditure amounting to \$45.35 million for the six months ended 30 June 2019, resulting in a surplus of \$157.69 million. The surplus was higher than the \$15.53 million for the same period in the year 2018 on account of higher total income.

Fair value adjustments totalling \$134.82 million contributed 66.40% of the total income for the period under review. The fair value gains were due to the bullish performance of the stock market. Other major contributors to income for the period under review were contributions and interest from investments, which amounted to a combined total of \$68.24 million and accounted for 33.71% of total income for the period under review.

Total pension benefits paid totalled \$41.24 million for the six months ended 30 June 2019 review, constituting 91.01% of the sector's total expenditure of \$45.35 million. The sector's administrative expenses (calculated as total expenditure excluding items such as expenditure on benefits, transfers to reserves and revaluation reserves) totalling \$4.08 million for the period under review translated to average expense ratios of 7.48% and 1.85% to contributions and total income, comparing favourably to 9.09% and 8.18% for the same period in 2018 respectively.

The Statements of Comprehensive Income for insured schemes for the six months ended 30 June 2019 are shown on Annexure 3.

## 6 SELF-ADMINISTERED FUNDS

### 6.1 Sector Architecture

There were 169 self-administered funds as at 30 June 2019, decreasing from 171 funds as at 31 March 2019 due to the finalisation of the dissolution processes for Funeral Industry Pension Fund and Hubert Davies Pension Fund, both of which were administered by Comarton Consultants.

Movements were also noted at administrator level as some funds transferred from one administrator to another. The greatest movement was recorded under Minerva Benefits Consulting as funds under its administration increased from 58 as at 31 March 2019 to 63 as at 30 June 2019.

The 169 funds as at 30 June 2019 were being administered by 5 administrators and 5 life offices. The number of self-administered pension funds as at 30 June 2019 and 31 March 2019 are shown in Table 7 below.

**Table 6 : Number of Self-administered Funds**

| Name of Administrator/Insurer*      | Number of Funds as at.... |               |
|-------------------------------------|---------------------------|---------------|
|                                     | 30 June 2019              | 31 March 2019 |
| <b>Professional Administrators</b>  |                           |               |
| Capitol Insurance Broker            | 1                         | 1             |
| Comarton Consultants                | 25                        | 28            |
| Marsh Employee Benefits             | 42                        | 44            |
| Minerva Benefit Consulting          | 63                        | 58            |
| Zimbabwe Insurance Brokers          | 5                         | 5             |
| <b>Sub-total</b>                    | <b>134</b>                | <b>136</b>    |
| <b>Life Companies</b>               |                           |               |
| Fidelity Life Assurance Company     | 1                         | 1             |
| First Mutual Life Assurance Company | 4                         | 5             |
| Old Mutual Life Assurance Company   | 24                        | 25            |
| Nyaradzo Life Assurance Company     | 2                         | 2             |
| Zimnat Life Assurance Company       | 2                         | 2             |
| <b>Sub-total</b>                    | <b>33</b>                 | <b>35</b>     |
| <b>Grand Total</b>                  | <b>169</b>                | <b>171</b>    |

\*Not all registered life offices (life assurance companies) are involved in pension administration

## 6.2 Membership

There was an increase in total membership from 118,564 as at 31 March 2019 to 120,378 as at 30 June 2019. The increase was mainly a result of new entrants totaling 3,209 members outweighing exits for the quarter. The distribution of self-administered pension fund membership as at 30 June 2019 and 31 March 2019 is depicted in table 8 below.

**Table 7: Distribution of Membership for Self - Administered Funds**

| Membership Class               | Number of members as at..... |                |
|--------------------------------|------------------------------|----------------|
|                                | 30 June 2019                 | 31 March 2019  |
| New Entrants                   | 3,209                        | 1,432          |
| Active Members (excluding new) | 69,421                       | 67,728         |
| Pensioners                     | 7,021                        | 7,482          |
| Deferred Pensioners            | 32,191                       | 34,984         |
| Suspended Pensioners           | 2,744                        | 2,767          |
| Unclaimed Benefits             | 5,792                        | 4,171          |
| <b>Total Membership</b>        | <b>120,378</b>               | <b>118,564</b> |
| Exits                          | 2,387                        | 2,449          |

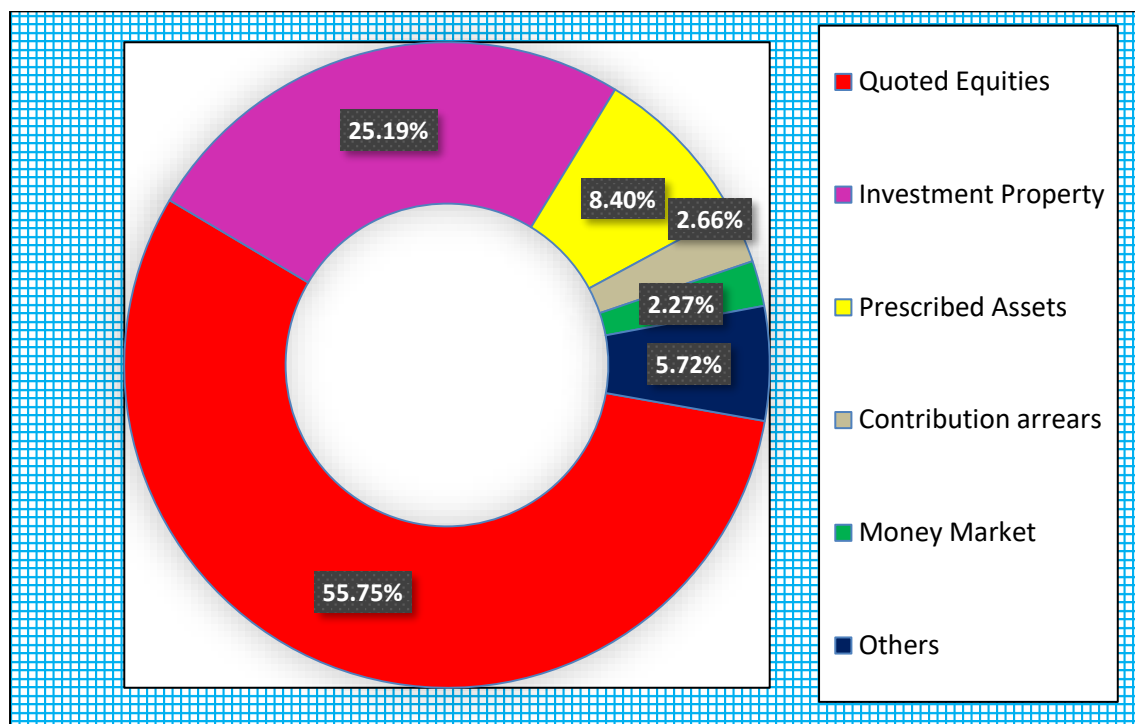
## 6.3 Asset Quality

The sector had an asset base of \$3.05 billion as at 30 June 2019, reflecting a 54.47% increase from the \$1.97 billion recorded as at 31 March 2019. The increase was mainly attributed to equities investments, which increased from \$1.14 billion as at 30 March 2019 to \$1.71 billion as at 30 June 2019. Investment property also increased from \$375.01 million as at 31 March 2019 to \$768.29 million as at 30 June 2019.

The sector's assets contributed 43.30% of the pension industry's \$7.04 billion asset base and translated to an average capital accumulation per member of \$25,334.29.

Figure 6 below shows the distribution of self-administered funds' assets as at 30 June 2019. Refer to Annexure 6 for detailed Statements of Financial Position.

**Figure 6: Distribution of Self-Administered Funds Assets**



As shown in Figure 6 above, quoted equity investments totaling \$1.70 billion accounted for 56.18% of the total asset base for self-administered funds. Although the weight of the equities investments was attributable to the increase in value of equities on the Zimbabwe Stock Exchange, it is important to note that quoted equities are vulnerable to market risk.

There was a 61.17% increase in prescribed assets investments from \$159.04 million as at 31 March 2019 to \$256.32 million as at 30 June 2019, translating to a ratio of 8.40% of total assets. The ratio was below the minimum regulatory threshold of 10%.

## 6.4 Earnings

Self-administered funds reported a surplus of \$870.81 as at 30 June 2019. The surplus was higher than the \$57.58 million reported for the same period in the year 2018 and was mainly driven by fair value gains amounting to \$656.08 million. Resultantly, the sector reported total income of \$945 million for the 6 months ended 30 June 2019.

Total expenditure for the period was \$73.69 million, which was mainly driven by benefit payouts totaling \$51.67 million and investment management expenses totaling \$10.44 million. The total expenditure for the period under review was higher than the \$53.61 million reported for the same period in 2018. The comparative increase was mainly due to relatively higher benefit payouts during the 6 months ended 30 June 2019.

Administrative expenditure (excluding fair value losses, transfer to reserves, amortization) to total income was 2.22% compared to 11.65% for the same period in 2018. Whilst this may seem to be an improvement, it was achieved through the increase in income due to revaluation gains on properties and equities.

See annexure 5 for further details on insured funds' income and expenditure.

## 7 STAND-ALONE PENSION FUNDS

### 7.1 Overview of Stand-Alone Funds Sector

During the quarter ending 30 June 2019, a total of 16 funds were reported on. The number remained unchanged from the previous quarter.

### 7.2 Membership

Total membership for stand-alone pension funds increased from 335,394 as at 31 March 2019 to 336,127 members as at 30 June 2019. The increase was mainly due to new entrants totalling 2,340 members, of which 1,571 were joining the Clothing Industry Pension Fund. The distribution of membership by class at 30 June 2019 and 31 March 2019 is shown in Table 9 below.

**Table 8 : Membership Statistics for Stand-Alone Pension Funds**

| Membership Category  | Number of members as at... |                |
|----------------------|----------------------------|----------------|
|                      | 30 June 2019               | 31 March 2019  |
| New entrants         | 2,340                      | 833            |
| Active members       | 150,998                    | 152,579        |
| Pensioners           | 21,867                     | 22,448         |
| Deferred Pensioners  | 103,849                    | 103,045        |
| Suspended Pensioners | 13,611                     | 13,839         |
| Unclaimed benefits   | 43,462                     | 42,650         |
| <b>Totals</b>        | <b>336,127</b>             | <b>335,394</b> |
| <b>Exit members</b>  | <b>1,075</b>               | <b>776</b>     |

As shown in Table 9 above, new entrants and active members were the largest category totaling 153,338 and constituted 45.62% of the sector's total membership, indicating that less than half of the members are currently contributing to the fund.

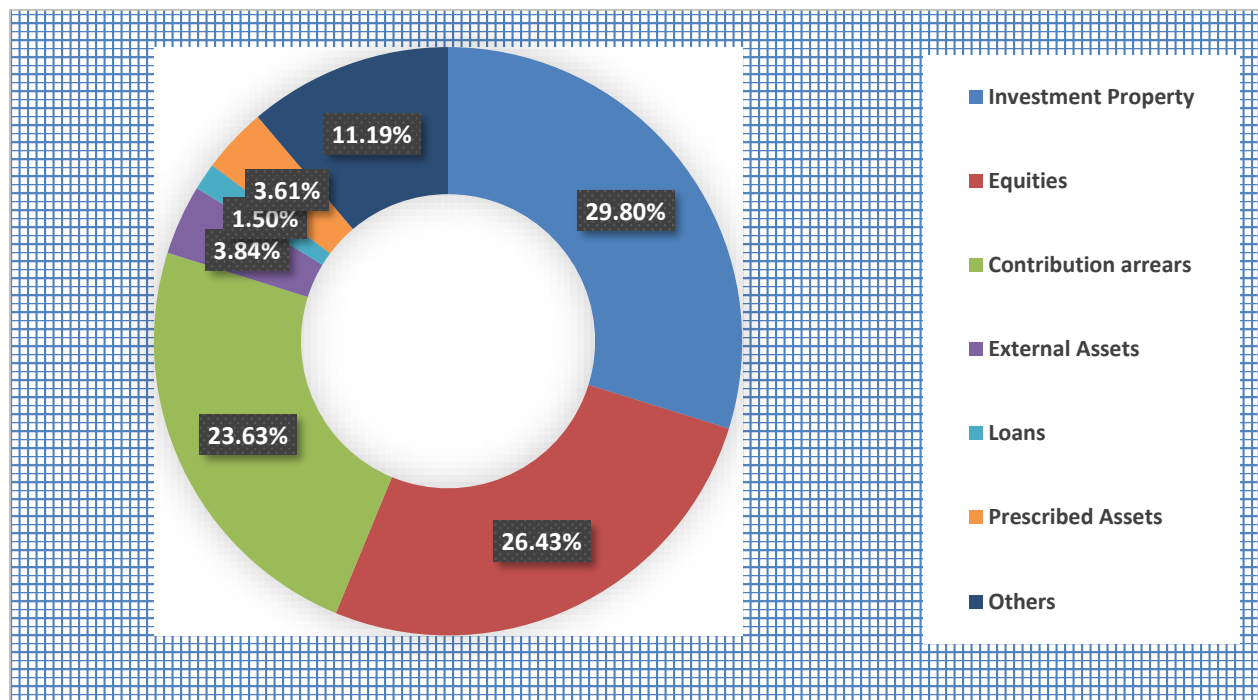
Furthermore, unclaimed benefits remained high with a total of 43,462 members as at 30 June 2019. The Commission continues to educate the public of the existence of the unclaimed benefits in a bid to decrease the membership in this category.

### 7.3 Asset Base

Stand-alone pension funds reported total assets amounting to \$2.23 billion, increasing from \$1.90 billion as at 31 March 2019. The increase in the asset base was mainly attributable to an increase in equity values from \$329.01 million as at 31 March 2019 to \$568.11 million as at 30 June 2019.

The sector's asset base accounted for 31.69% of the industry's total asset base, and translated to an average asset accumulation of \$6,820 per member. The distribution of assets for stand-alone pension funds as at 30 June 2019 is shown in Figure 7.

**Figure 7: Distribution of Assets for Stand-Alone Funds**



As shown in figure 7 above, investment property and equities investments accounted for a combined total of \$1.25 billion and accounted for 56.23%



of the sector's total asset base. Contribution arrears totaling \$527.39 million accounted for 23.63% to total assets. Of the contribution arrears, \$341.32 million, constituting 64.70% of total arrears were from two pension funds.

Prescribed assets investments constituted only 3.61% of the total assets, which was way below the statutory minimum of 10%. It is, therefore, imperative that pension funds inject more assets into prescribed asset instruments to move towards compliance or invest in projects of national importance which can be awarded prescribed asset status.

## **7.4 Liabilities**

Stand-alone funds reported arrear pension benefits totaling \$71.54 million as at 31 March 2019, increasing from \$68.29 million reported for the period ending 31 December 2018. This was mainly as a result of low liquidity within the affected pension funds. Unclaimed benefits totaled \$17.52 million as at 31 March 2019, a marginal decrease from the \$17.71 million reported as at 31 December 2018.

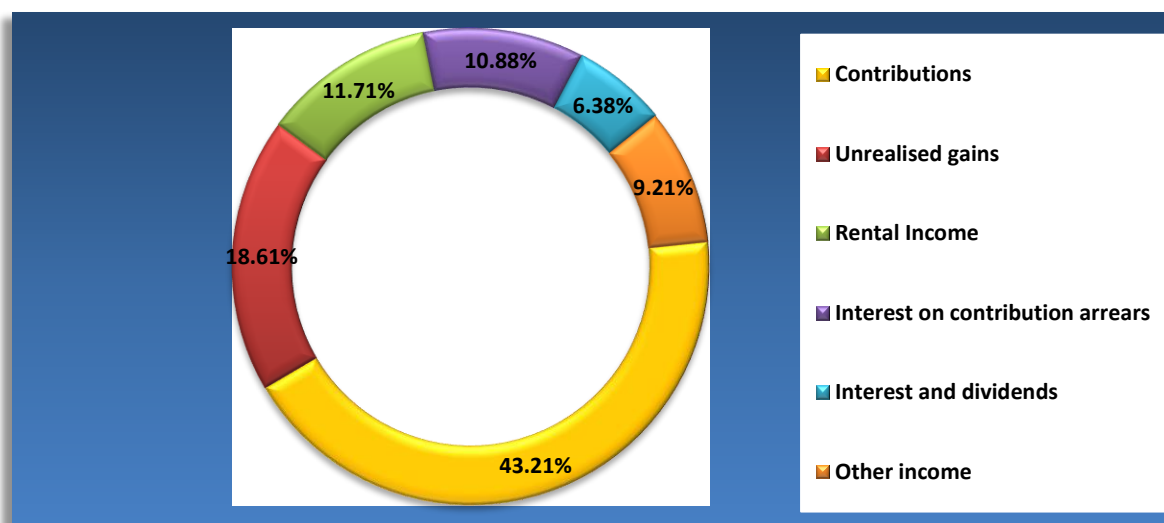
See Annexure 8 for a detailed breakdown of stand-alone pension funds' liabilities.

## **7.5 Earnings**

During the six months ended 30 June 2019, stand-alone pension funds reported a surplus of \$130.70 million compared to \$62.71 million for the corresponding period in 2018. The relatively higher total income was on account of higher investment returns.

Total income for the period under review was \$203.29 million, driven by contributions totalling \$87.84 million and unrealised gains totalling \$37.84 million for the quarter under review. A breakdown of the sector's total income is summarised in Figure 8 below.

**Figure 8: Income Distribution for Stand-Alone Funds as at 30 June 2019**



Total expenditure was \$72.73 million for the 6 months ended 30 June 2019 and was higher than the \$67.55 million reported for the same period in 2018. Pension benefits constituted 62.79% of total expenditure for the year to date while administrative expenses totalled \$27.06 million. The sector's administration expenses were 29.54% of contributions and 12.76% of total income respectively, compared to 22.50% and 12.22% for the same period in 2018 respectively.

## 8 SECTION D: ANNEXURES

### Annexure 1: Consolidated Industry Statement of Comprehensive Income for the 6 months ended 30 June 2019

|                                                       | INSURED            | SELF ADMINSTERED   | STAND ALONE        | TOTAL                |
|-------------------------------------------------------|--------------------|--------------------|--------------------|----------------------|
| <b>Income</b>                                         |                    |                    |                    |                      |
| Year to date Contributions (Including arrears)        | 50,212,400         | 73,554,154         | 87,843,031         | 211,609,585          |
| Interest on contribution arrears                      | -                  | -                  | 22,128,096         | 22,128,096           |
| Transfer from (to) other funds                        | 551,427            | 20,704,993         | (181,657)          | 21,074,763           |
| Rental Income                                         | 73,585             | 4,887,515          | 23,796,326         | 28,757,426           |
| Interest from Investments                             | 18,226,773         | 10,512,303         | 6,960,293          | 35,699,369           |
| Dividends from investments                            | 766,506            | 23,454,181         | 6,000,962          | 30,221,649           |
| GLA Premiums received (paid)                          | (1,620,364)        | (3,391,338)        | 147,280            | (4,864,422)          |
| Profit on sale of assets                              | -                  | 64,148,416         | 4,437,912          | 68,586,328           |
| Fair Value Gains on equities                          | 134,821,177        | 656,077,735        | 37,836,449         | 828,735,361          |
| Other                                                 | 8,472              | 94,542,904         | 14,325,759         | 108,877,135          |
| <b>Total Income</b>                                   | <b>203,039,977</b> | <b>944,490,863</b> | <b>203,294,451</b> | <b>1,350,825,291</b> |
| <b>EXPENDITURE</b>                                    |                    |                    |                    |                      |
| <b>Benefits</b>                                       |                    |                    |                    |                      |
| Year to date monthly pension benefits                 | 8,046,362          | 8,103,077          | 34,184,736         | 50,334,175           |
| Retrenchements and retirements                        | 986,347            | 25,809,819         | 354,576            | 27,150,742           |
| Full/part commutations paid after initial commutation | 15,249,562         | 208,487            | 1,315,868          | 16,773,918           |
| Withdrawals ( resignations and dismissal)             | 13,497,568         | 12,705,554         | 117,933            | 26,321,055           |
| Deaths                                                | 71,726             | 2,059,250          | 461,918            | 2,592,893            |
| Other                                                 | 3,419,092          | 2,787,273          | 9,233,155          | 15,439,520           |
| <b>Total Benefits Paid</b>                            | <b>41,270,658</b>  | <b>51,673,460</b>  | <b>45,668,186</b>  | <b>138,612,304</b>   |
| Deductions by NEC                                     | -                  | -                  | 1,751              | 1,751                |
| Staff costs                                           | -                  | -                  | 6,984,220          | 6,984,220            |
| Admin Expenses                                        | 2,540,839          | 4,018,837          | 4,229,998          | 10,789,674           |
| Investment Management Expenses                        | 855,526            | 10,439,714         | 995,825            | 12,291,064           |
| Actuarial fees                                        | -                  | 494,071            | 206,267            | 700,338              |
| Audit fees                                            | -                  | 613,813            | 195,933            | 809,746              |
| Legal fees                                            | -                  | 128,834            | 305,890            | 434,724              |
| Board Fees                                            | 100                | 206,874            | 1,232,575          | 1,439,550            |
| IPEC Levies                                           | 84,587             | 329,946            | 327,328            | 741,862              |
| Bank Charges                                          | -                  | 442,956            | 1,059,536          | 1,502,492            |
| Sundry expenses                                       | 110,917            | 1,081,450          | -                  | 1,192,367            |
| Subscriptions                                         | 162,026            | 498,031            | 71,523             | 731,580              |
| Property Expenses                                     | -                  | 1,824,767          | 5,952,046          | 7,776,813            |
| Transfer to reserves                                  | 324,525            | 1,043,078          | 160,708            | 1,528,310            |
| Fair value losses/(gains)                             | -                  | 5,765              | -                  | 5,765                |
| Loss/profit on disposal of assets (specify)           | -                  | -                  | -                  | -                    |
| Provision for bad debtors                             | -                  | -                  | 951,806            | 951,806              |
| Others                                                | -                  | 884,009            | 4,384,257          | 5,268,266            |
| <b>Total Administration Expenditure (sub-total)</b>   | <b>4,078,519</b>   | <b>22,012,145</b>  | <b>27,059,663</b>  | <b>53,150,327</b>    |
| <b>TOTAL EXPENDITURE</b>                              | <b>45,349,177</b>  | <b>73,685,606</b>  | <b>72,727,849</b>  | <b>191,762,631</b>   |
| <b>Surplus/ (Deficit)</b>                             | <b>157,690,799</b> | <b>870,805,258</b> | <b>130,566,602</b> | <b>1,159,062,659</b> |

## Annexure 2: Consolidated Industry Statement of Financial Position as at 30 June 2019

|                                                             | INSURED       | SELF ADMINSTERED | STAND ALONE   | TOTAL         |
|-------------------------------------------------------------|---------------|------------------|---------------|---------------|
| <b>ASSETS</b>                                               |               |                  |               |               |
| <b>Operating Assets</b>                                     |               |                  |               |               |
| Property                                                    |               | -                | 3,057,902     | 3,057,902     |
| Motor vehicles                                              |               | -                | 2,074,443     | 2,074,443     |
| Furniture and equipment                                     |               | -                | 850,910       | 850,910       |
| Computer systems and equipment                              |               | -                | 1,524,060     | 1,524,060     |
| Other                                                       |               | -                | 15,004        | 15,004        |
| <b>Total operating assets</b>                               | -             | -                | 7,522,320     | 7,522,320     |
| <b>Investment Assets (Non- Current)</b>                     |               |                  |               |               |
| Investment Property                                         | 619,136,873   | 768,294,558      | 665,054,182   | 2,052,485,613 |
| Equities - Quoted                                           | 761,532,438   | 1,700,280,769    | 568,108,439   | 3,029,921,645 |
| - Unquoted                                                  | 15,564,040    | 13,138,567       | 21,673,409    | 50,376,016    |
| Prescribed Assets - Government Stock                        | 2,262,122     | 48,102,059       | 51,841,828    | 102,206,009   |
| - Other prescribed assets                                   | 13,672,176    | 204,417,310      | 15,422,677    | 233,512,162   |
| Fixed interest securities e.g. private bonds and debentures | 6,156,765     | 10,397,770       | 5,402,701     | 21,957,236    |
| Loans and Mortgages on Property (excluding staff)           | -             | 4,764,450        | 31,224,375    | 35,988,824    |
| Staff loans and Mortgages                                   | 115,311       | 5,426,676        | 1,340,248     | 6,882,235     |
| Other loans                                                 | -             | -                | 121,854       | 121,854       |
| External Assets                                             | -             | -                | 85,669,654    | 85,669,654    |
| Long-term deposits                                          | 21,636,316    | 45,441           | 10,370,596    | 32,052,353    |
| Guaranteed Fund                                             | 72,448,067    | 55,453,644       | 9,201,603     | 137,103,314   |
| Other                                                       | -             | 2,417,191        | 50,144,944    | 52,562,136    |
| <b>Total non-current investment assets</b>                  | 1,512,524,108 | 2,812,738,435    | 1,515,576,510 | 5,840,839,052 |
| <b>Investment Assets (Current)</b>                          |               |                  |               |               |
| Prescribed Assets - Government Stock                        | 125,389,207   | 494,723          | 11,836,461    | 137,720,390   |
| - Other prescribed assets                                   | 32,517,158    | 3,309,667        | 1,353,312     | 37,180,137    |
| Fixed interest securities                                   | -             | -                | -             | -             |
| Cash at Bank                                                | 24,233,285    | 65,783,031       | 26,205,407    | 116,221,723   |
| Money Market investments                                    | 20,581,776    | 69,317,064       | 71,062,205    | 160,961,045   |
| Staff loans                                                 | -             | 26,614           | 746,163       | 772,777       |
| Dividends and interest receivable                           | -             | 1,805,194        | 2,353,695     | 4,158,889     |
| Other                                                       | -             | 2,894,738        | 22,418,596    | 25,313,335    |
| <b>Total current investment assets</b>                      | 202,721,426   | 143,631,029      | 135,975,840   | 482,328,295   |
| Contribution arrears *                                      | 46,467,192    | 81,149,953       | 527,389,157   | 655,006,302   |
| Rental arrears*                                             | 10,262        | 4,395,315        | 40,003,855    | 44,409,433    |
| Group Life Assurance contribution arrears                   | -             | 799,801          | 107,211       | 907,012       |
| Other                                                       | -             | 6,976,110        | 5,026,317     | 12,002,427    |
| <b>TOTAL ASSETS</b>                                         | 1,761,722,988 | 3,049,690,644    | 2,231,601,210 | 7,043,014,842 |
| <b>LIABILITIES</b>                                          |               |                  |               |               |
| Reserves                                                    | 1,761,722,988 | 2,966,803,548    | 1,530,973,607 | 6,259,500,144 |
| Provisions                                                  | -             | 17,712,484       | 478,269,976   | 495,982,460   |
| Deferred pension benefits                                   | -             | 22,678,480       | 99,299,792    | 121,978,272   |
| Arrear pension benefits                                     | -             | 4,505,522        | 73,262,567    | 77,768,089    |
| Unclaimed Benefits                                          | -             | 3,844,133        | 29,904,484    | 33,748,617    |
| Sundry Creditors                                            | -             | 14,398,288       | 15,209,018    | 29,607,305    |
| Withdrawals                                                 | -             | 16,414,825       | 698,146       | 17,112,971    |
| Other Creditors                                             | -             | 3,333,364        | 5,362,566     | 8,695,929     |
| <b>TOTAL LIABILITIES</b>                                    | 1,761,722,988 | 3,049,690,644    | 2,232,980,155 | 7,044,393,788 |
| <b>DIFFERENCE</b>                                           | -             | 0                | (1,378,945)   | (1,378,946)   |

### Annexure 3: Consolidated Statement of Comprehensive Income for Insured Schemes per Insurer for the 6 months ended 30 June 2019

|                                                         | CBZ Life Assurance Company | Fidelity Life Assurance | First Mutual Life Assurance Company | Old Mutual Life Assurance Company | ZB Life Assurance Company | Zimnat Life Assurance Company | Total              |
|---------------------------------------------------------|----------------------------|-------------------------|-------------------------------------|-----------------------------------|---------------------------|-------------------------------|--------------------|
| <b>Income</b>                                           |                            |                         |                                     |                                   |                           |                               |                    |
| Year to date Contributions (Including arrears interest) | 92,130                     | 3,473,437               | 6,102,210                           | 35,049,544                        | 977,930                   | 4,517,147                     | 50,212,400         |
| Transfer / (to) from other funds                        | 241,466                    |                         | 309,962                             |                                   |                           | -                             | 551,427            |
| Rental Income                                           | -                          | 700                     |                                     |                                   | 72,885                    |                               | 73,585             |
| Interest from Investments                               | -                          | 343,670                 |                                     | 17,676,789                        | 206,315                   |                               | 18,226,773         |
| Dividends from investments                              | -                          |                         |                                     | 621,295                           | 145,211                   |                               | 766,506            |
| GLA Premiums received (paid)                            | 10,086                     |                         | 501,255                             | (1,629,362)                       | (76,334)                  | (426,010)                     | (1,620,364)        |
| Other Income (specify) - FV adjustments                 |                            |                         |                                     | 113,442,564                       | 21,378,613                |                               | 134,821,177        |
| Other                                                   | 8,472                      |                         |                                     |                                   |                           |                               | 8,472              |
| <b>Total Income</b>                                     | <b>352,154</b>             | <b>3,817,807</b>        | <b>6,913,427</b>                    | <b>165,160,830</b>                | <b>22,704,620</b>         | <b>4,091,138</b>              | <b>203,039,977</b> |
|                                                         |                            |                         |                                     |                                   |                           |                               |                    |
| <b>Expenditure</b>                                      |                            |                         |                                     |                                   |                           |                               |                    |
| <b>Benefits to members</b>                              |                            |                         |                                     |                                   |                           |                               |                    |
| Year to date monthly pension benefits                   | 19020.4                    | 8,068                   | 3,979                               | 8,015,295                         |                           | -                             | 8,046,362          |
| Retirements, retrenchments                              |                            | 52,565                  | 847,632                             |                                   | 86,150                    | -                             | 986,347            |
| Full commutations paid                                  | 3626.14                    | 2,210,019               |                                     | 12,048,619                        | 367,854                   | 619,445                       | 15,249,562         |
| withdrawals                                             |                            |                         | 445,816                             | 12,201,042                        |                           | 850,709                       | 13,497,568         |
| Deaths                                                  | 0                          | -                       |                                     |                                   | -                         | 71,726                        | 71,726             |
| Other benefits                                          | 10086.49878                |                         | 500,324                             | 2,908,682                         |                           |                               | 3,419,092          |
| <b>Sub-total</b>                                        | <b>32,733</b>              | <b>2,270,652</b>        | <b>1,797,751</b>                    | <b>35,173,638</b>                 | <b>454,004</b>            | <b>1,541,880</b>              | <b>41,270,658</b>  |
|                                                         |                            |                         |                                     |                                   |                           |                               |                    |
| <b>Administrative Expenses</b>                          |                            |                         |                                     |                                   |                           |                               |                    |
| Admin Expenses                                          | 8,472.05                   | 151,379                 | 300,224                             | 1,757,784                         | 63,190                    | 259,789                       | 2,540,839          |
| Investment Management Expenses                          |                            |                         | 16,491                              |                                   | 839,035                   | -                             | 855,526            |
| IPEC Levies                                             |                            | 38,921                  | 18,550                              | 24,400.00                         |                           | 2,715                         | 84,587             |
| Sundry expenses                                         | 7900.152                   |                         | 103,017                             |                                   |                           |                               | 110,917            |
| Subscriptions i.e. ZAPF                                 |                            | 2,340                   |                                     | 158,026                           | 1,660                     |                               | 162,026            |
| Transfer to reserves                                    | 303,049.20                 |                         | 21,475                              |                                   |                           |                               | 324,525            |
| <b>Sub-total</b>                                        | <b>319,421</b>             | <b>192,641</b>          | <b>459,758</b>                      | <b>1,940,210</b>                  | <b>903,985</b>            | <b>262,504</b>                | <b>4,078,519</b>   |
|                                                         |                            |                         |                                     |                                   |                           |                               |                    |
| <b>Total Expenditure</b>                                | <b>352,154</b>             | <b>2,463,293</b>        | <b>2,257,509</b>                    | <b>37,113,848</b>                 | <b>1,357,989</b>          | <b>1,804,385</b>              | <b>45,349,177</b>  |
|                                                         |                            |                         |                                     |                                   |                           |                               |                    |
| <b>Net Income</b>                                       | <b>0</b>                   | <b>1,354,515</b>        | <b>4,655,918</b>                    | <b>128,046,983</b>                | <b>21,346,631</b>         | <b>2,286,753</b>              | <b>157,690,799</b> |

**Annexure 4: Consolidated Statement of Financial Position for Insured Schemes per Insurer as at 30 June 2019**

|                                          | CBZ Life Assurance<br>Company | Fidelity Life Assurance | First Mutual Life<br>Assurance Company | Old Mutual Life<br>Assurance Company | ZB Life Assurance<br>Company | Zimnat Life Assurance<br>Company | Total                |
|------------------------------------------|-------------------------------|-------------------------|----------------------------------------|--------------------------------------|------------------------------|----------------------------------|----------------------|
| <b>ASSETS</b>                            |                               |                         |                                        |                                      |                              |                                  |                      |
| <b>Investment Assets ( Non- Current)</b> |                               |                         |                                        |                                      |                              |                                  |                      |
| Investment Property                      |                               | 18,794,954              | -                                      | 584,311,903                          | 3,309,550                    | 12,720,465                       | 619,136,873          |
| Equities - Quoted                        |                               | 6,236,748               | 3,774,031                              | 674,127,769                          | 31,777,556                   | 45,616,334                       | 761,532,438          |
| - Unquoted                               |                               | 10,407,116              |                                        |                                      | 5,156,923                    | -                                | 15,564,040           |
| Prescribed Assets - Government Stock     |                               |                         |                                        |                                      | 2,262,122                    |                                  | 2,262,122            |
| - Other prescribed assets                |                               | 13,672,176              |                                        |                                      |                              | -                                | 13,672,176           |
| Fixed interest securities                |                               |                         |                                        |                                      | 16,477                       | 6,140,288                        | 6,156,765            |
| Staff loans and Mortgages                |                               |                         |                                        |                                      | 115,311                      |                                  | 115,311              |
| Long-term deposits                       |                               |                         | 21,192,877                             |                                      | 443,439                      |                                  | 21,636,316           |
| Gauranteed Fund                          | 278,899                       |                         | 70,291,542                             |                                      | 1,877,627                    |                                  | 72,448,067           |
| <b>Total Non-Current Investments</b>     | <b>278,899</b>                | <b>49,110,995</b>       | <b>95,258,450</b>                      | <b>1,258,439,672</b>                 | <b>44,959,005</b>            | <b>64,477,087</b>                | <b>1,512,524,108</b> |
| <b>Investment Assets (Current)</b>       |                               |                         |                                        |                                      |                              |                                  |                      |
| Prescribed Assets - Government Stock     |                               |                         |                                        | 125,389,207                          |                              |                                  | 125,389,207          |
| - Other prescribed assets                |                               |                         |                                        | 20,615,801                           |                              | 11,901,357                       | 32,517,158           |
| Cash at Bank                             |                               |                         |                                        | 22,697,355                           |                              | 1,535,930                        | 24,233,285           |
| Money Market investments                 |                               | 649,377                 |                                        | 17,909,942                           | 1,367,303                    | 655,153                          | 20,581,776           |
| <b>Total current investment assets</b>   | <b>-</b>                      | <b>649,377</b>          | <b>-</b>                               | <b>186,612,306</b>                   | <b>1,367,303</b>             | <b>14,092,440</b>                | <b>202,721,426</b>   |
| Contribution arrears *                   | 24,150                        | 1,351,901               |                                        | 45,091,140                           | -                            |                                  | 46,467,192           |
| Rental arrears*                          |                               |                         |                                        |                                      | 10,262                       |                                  | 10,262               |
| <b>TOTAL ASSETS</b>                      | <b>303,049</b>                | <b>51,112,273</b>       | <b>95,258,450</b>                      | <b>1,490,143,119</b>                 | <b>46,336,570</b>            | <b>78,569,527</b>                | <b>1,761,722,988</b> |
|                                          |                               |                         |                                        |                                      |                              |                                  |                      |
| <b>LIABILITIES</b>                       |                               |                         |                                        |                                      |                              |                                  |                      |
| Reserves                                 | 303,049                       | 51,112,273              | 95,258,450                             | 1,490,143,119                        | 46,336,570                   | 78,569,527                       | 1,761,722,988        |
| <b>TOTAL LIABILITIES</b>                 | <b>303,049</b>                | <b>51,112,273</b>       | <b>95,258,450</b>                      | <b>1,490,143,119</b>                 | <b>46,336,570</b>            | <b>78,569,527</b>                | <b>1,761,722,988</b> |

## Annexure 5: Consolidated Statement of Comprehensive Income for Self-Administered Pension Funds for the 6 Months ended 30 June 2019

|                                                    | Capitol Insurance Brokers | Comarton Consultants | Fidelity Life Assurance Company | First Mutual Life Assurance | Marsh Employee Benefits | Minerva Benefits Consulting | Nyaradzo Life Assurance Company | Old Mutual Life Assurance Company | Zimbabwe Insurance Brokers | Zimnat Life Assurance Company | Total                 |
|----------------------------------------------------|---------------------------|----------------------|---------------------------------|-----------------------------|-------------------------|-----------------------------|---------------------------------|-----------------------------------|----------------------------|-------------------------------|-----------------------|
| <b>Income</b>                                      |                           |                      |                                 |                             |                         |                             |                                 |                                   |                            |                               |                       |
| Year to date Contributions (Including arrears)     | -                         | 6,231,786.15         | -                               | 4,508,778.47                | 11,210,933.49           | 29,796,733.00               | 556,864.10                      | 20,828,549.00                     | 74,371.47                  | 346,138.00                    | 73,554,153.68         |
| Interest on contribution arrears                   | -                         | -                    | -                               | -                           | -                       | -                           | -                               | -                                 | -                          | -                             | -                     |
| Transfer from other funds                          | -                         | (1,297,399.33)       | -                               | -                           | 266,709.51              | 21,052,704.00               | -                               | 682,979.00                        | -                          | -                             | 20,704,993.18         |
| Rental Income                                      | 32,765.00                 | 452,995.60           | -                               | 14,409.22                   | 1,093,198.76            | 1,581,961.00                | -                               | 1,711,567.00                      | 312.63                     | 306.00                        | 4,887,515.21          |
| Interest from Investments                          | -                         | 1,161,933.27         | 8,069.68                        | 110,135.16                  | 1,674,114.48            | 4,024,115.00                | 30,910.86                       | 3,441,447.73                      | 4,292.32                   | 57,284.92                     | 10,512,303.42         |
| Dividends from investments                         | -                         | 944,383.83           | 5,719.39                        | 319,115.65                  | 2,626,377.67            | 7,334,281.00                | 34,045.60                       | 12,090,171.00                     | 7,114.64                   | 92,972.33                     | 23,454,181.11         |
| GLA Premiums received (paid)                       | -                         | -                    | -                               | (922,574.37)                | (1,432,821.16)          | -                           | 6,967.60                        | (1,040,374.00)                    | (2,536.26)                 | -                             | (3,391,338.19)        |
| Profit/ (loss) on disposals investments            | -                         | 850,495.22           | -                               | 16,215,568.28               | 10,180,824.24           | 32,548,846.00               | -                               | 4,352,540.00                      | 142.10                     | -                             | 64,148,415.84         |
| Fair value gains (Losses)                          | -                         | -                    | -                               | -                           | 349,187,844.00          | 8,487,704.75                | 293,977,473.30                  | 652,494.05                        | 3,772,219.00               | -                             | 656,077,735.10        |
| Other                                              | -                         | -                    | 615,308.59                      | 503,586.28                  | 1,355,558.65            | 10,406,882.00               | 47,764.93                       | 81,100,441.34                     | 513,362.07                 | -                             | 94,542,903.86         |
| <b>Total Income</b>                                | <b>32,765.00</b>          | <b>8,344,194.74</b>  | <b>629,097.66</b>               | <b>21,671,593.06</b>        | <b>27,485,142.43</b>    | <b>454,500,544.84</b>       | <b>9,164,257.84</b>             | <b>417,144,794.37</b>             | <b>736,190.95</b>          | <b>4,782,282.32</b>           | <b>944,490,863.22</b> |
| <b>EXPENDITURE</b>                                 |                           |                      |                                 |                             |                         |                             |                                 |                                   |                            |                               |                       |
| <b>Benefits</b>                                    |                           |                      |                                 |                             |                         |                             |                                 |                                   |                            |                               |                       |
| Year to date pension benefits                      | -                         | 2,259,731.88         | -                               | 3,027.75                    | 1,477,294.15            | 3,882,268.00                | -                               | 480,755.00                        | -                          | -                             | 8,103,076.78          |
| 1/3 Commutations paid                              | -                         | 491,427.32           | -                               | 53,063.57                   | 6,731,768.18            | 9,636,162.00                | 6,837.24                        | 8,890,561.00                      | -                          | -                             | 25,809,819.31         |
| Full/part commutations paid after 1/3 commutations | -                         | 61,315.31            | 11,103.84                       | -                           | 93,477.44               | -                           | 1,042.87                        | -                                 | 0.89                       | 41,547.00                     | 208,487.35            |
| resignations, dismissals                           | -                         | 2,349,888.80         | -                               | 547,514.66                  | -                       | 5,247,398.08                | -                               | 4,241,851.00                      | 5,839.67                   | 313,062.00                    | 12,705,554.21         |
| Death benefits                                     | -                         | 94,084.94            | -                               | 14,559.79                   | -                       | 662,519.00                  | -                               | 1,288,086.00                      | -                          | -                             | 2,059,249.73          |
| Others:1)Specify                                   | -                         | 773,379.97           | -                               | 364,476.92                  | 19,743.37               | 1,550,989.00                | 11,449.83                       | 67,234.00                         | -                          | -                             | 2,787,273.09          |
| <b>Total Benefits</b>                              | <b>-</b>                  | <b>6,029,828.22</b>  | <b>11,103.84</b>                | <b>982,642.69</b>           | <b>8,322,283.14</b>     | <b>20,979,336.08</b>        | <b>19,329.94</b>                | <b>14,968,487.00</b>              | <b>5,840.56</b>            | <b>354,609.00</b>             | <b>51,673,460.46</b>  |
| <b>Administrative Expenses</b>                     |                           |                      |                                 |                             |                         |                             |                                 |                                   |                            |                               |                       |
| Admin Expenses                                     | -                         | 635,435.37           | -                               | 138,423.19                  | 559,150.65              | 1,976,197.00                | -                               | 692,535.00                        | 4,252.83                   | 12,843.00                     | 4,018,837.04          |
| Investment Management Expenses                     | -                         | 599,646.89           | 6,900.76                        | 232,572.73                  | 1,904,065.60            | 4,474,768.00                | 35,957.74                       | 3,120,533.00                      | 6,819.03                   | 58,450.18                     | 10,439,713.93         |
| Actuarial fees                                     | -                         | 42,538.00            | -                               | 20,136.00                   | 134,360.33              | 253,665.00                  | 29,600.00                       | 10,276.00                         | 1,745.68                   | 1,750.00                      | 494,071.01            |
| Audit fees                                         | -                         | 49,460.00            | 2,800.00                        | 22,233.57                   | 95,977.66               | 331,031.00                  | 16,500.00                       | 93,511.00                         | -                          | 2,300.00                      | 613,813.22            |
| Legal fees                                         | -                         | 10,803.04            | -                               | -                           | -                       | 18,413.00                   | -                               | 99,618.00                         | -                          | -                             | 128,834.04            |
| Board Fees                                         | -                         | 142,159.33           | -                               | -                           | 17,428.00               | 18,771.00                   | 9,493.00                        | 19,023.00                         | -                          | -                             | 206,874.33            |
| IPEC Levies                                        | -                         | 19,728.17            | 4,270.13                        | 19,597.47                   | 36,657.68               | 104,411.00                  | -                               | 136,172.14                        | 8,150.74                   | 959.00                        | 329,946.33            |
| Bank Charges                                       | 550.85                    | 138,632.01           | 192.82                          | 40,558.59                   | 71,859.42               | 153,765.00                  | 19,840.16                       | 14,688.10                         | 1,943.15                   | 926.00                        | 442,956.10            |
| Sundry expenses                                    | -                         | -                    | -                               | -                           | 234,219.81              | 847,230.00                  | -                               | -                                 | -                          | -                             | 1,081,449.81          |
| Subscriptions i.e. ZAPF                            | -                         | 65,480.00            | 780.00                          | 8,240.09                    | 9,266.00                | 370,255.00                  | -                               | 26,690.00                         | -                          | 17,320.00                     | 498,031.09            |
| Property Expenses                                  | -                         | 232,468.87           | -                               | 1,176.96                    | 263,286.13              | 739,434.00                  | -                               | 582,585.00                        | -                          | 5,816.00                      | 1,824,766.96          |
| Transfer to reserves                               | -                         | -                    | -                               | -                           | 1,033,778.62            | -                           | -                               | 146.00                            | 9,153.00                   | -                             | 1,043,077.62          |
| Fair value losses/(gains)                          | -                         | -                    | -                               | -                           | -                       | -                           | -                               | -                                 | 5,764.83                   | -                             | 5,764.83              |
| Others:1)Specify                                   | -                         | 71,965.14            | 5,486.00                        | 50,594.29                   | 75,543.46               | 566,702.00                  | -                               | 97,287.10                         | 1,223.65                   | 15,207.11                     | 884,008.75            |
| <b>Total Administrative Expenditure</b>            | <b>550.85</b>             | <b>2,008,316.82</b>  | <b>20,429.71</b>                | <b>533,532.88</b>           | <b>4,435,593.36</b>     | <b>9,854,642.00</b>         | <b>111,390.90</b>               | <b>4,893,064.34</b>               | <b>39,052.91</b>           | <b>115,571.29</b>             | <b>22,012,145.05</b>  |
| <b>Total Expenditure</b>                           | <b>550.85</b>             | <b>8,038,145.04</b>  | <b>31,533.55</b>                | <b>1,516,175.56</b>         | <b>12,757,876.50</b>    | <b>30,833,978.08</b>        | <b>130,720.84</b>               | <b>19,861,551.34</b>              | <b>44,893.47</b>           | <b>470,180.29</b>             | <b>73,685,605.52</b>  |
| <b>Surplus / (Deficit)</b>                         | <b>32,214.15</b>          | <b>306,049.70</b>    | <b>597,564.12</b>               | <b>20,155,417.50</b>        | <b>14,727,265.94</b>    | <b>423,666,566.76</b>       | <b>9,033,537.00</b>             | <b>397,283,243.03</b>             | <b>691,297.48</b>          | <b>4,312,102.03</b>           | <b>870,805,257.70</b> |

## Annexure 6: Consolidated Statement of Financial Position for Self-Administered Pension Funds as at 30 June 2019

|                                                    | Capitol Insurance Brokers | Comarton Consultants  | Fidelity Life Assurance Company | First Mutual Life Assurance | Marsh Employee Benefits | Minerva Benefits Consulting | Nyaradzo Life Assurance Company | Old Mutual Life Assurance Company | Zimbabwe Insurance Brokers | Zimnat Life Assurance Company | Total                   |
|----------------------------------------------------|---------------------------|-----------------------|---------------------------------|-----------------------------|-------------------------|-----------------------------|---------------------------------|-----------------------------------|----------------------------|-------------------------------|-------------------------|
| <b>ASSETS</b>                                      |                           |                       |                                 |                             |                         |                             |                                 |                                   |                            |                               |                         |
| <b>Total operating assets</b>                      | -                         | -                     | -                               | -                           | -                       | -                           | -                               | -                                 | -                          | -                             | -                       |
| <b>Investment Assets ( Non- Current)</b>           |                           |                       |                                 |                             |                         |                             |                                 |                                   |                            |                               |                         |
| Investment Property                                | 800,000.00                | 55,293,869.94         | 1,477,704.05                    | 7,265,275.42                | 63,342,174.97           | 320,390,175.00              | 116,970.82                      | 316,009,725.43                    | 127,621.46                 | 3,471,041.00                  | 768,294,558.09          |
| Equities - Quoted                                  | 115,931.43                | 145,142,040.45        | 995,839.29                      | 35,425,877.52               | 335,382,815.36          | 684,409,861.00              | 15,422,768.57                   | 473,234,947.34                    | 838,601.44                 | 9,312,086.38                  | 1,700,280,768.78        |
| - Unquoted                                         |                           | 3,759,301.89          |                                 | -                           | 5,389,300.17            | -                           | 1,219,023.39                    | 2,162,364.26                      | -                          | 608,577.73                    | 13,138,567.44           |
| Prescribed Assets - Government Stock               |                           | 3,259,649.85          | 82,784.41                       | 333,978.95                  | 41,757,391.07           | 1,014,673.00                | 682,034.17                      | 935,165.00                        | 36,382.42                  |                               | 48,102,058.87           |
| - Other prescribed assets                          |                           | 6,293,425.94          | 13,685.69                       | 820,545.65                  | -                       | 91,882,525.00               | -                               | 104,535,239.24                    | -                          | 871,888.00                    | 204,417,309.52          |
| Fixed interest securities e.g. bonds & debentures  |                           | -                     |                                 | 81,384.59                   | -                       | 10,036,738.00               | 275,555.57                      | -                                 | 2,639.76                   | 1,452.00                      | 10,397,769.92           |
| Loans and Mortgages on Property ( excluding staff) |                           | 187,683.11            |                                 | -                           | 3,040,751.67            | 1,536,015.00                | -                               | -                                 | -                          | -                             | 4,764,449.78            |
| Staff loans and Mortgages                          |                           | -                     |                                 | -                           | 5,426,675.99            | -                           | -                               | -                                 |                            |                               | 5,426,675.99            |
| Long-term deposits                                 |                           | 25,441.27             |                                 | -                           | -                       | -                           |                                 |                                   |                            | 20,000.00                     | 45,441.27               |
| Guaranteed Fund                                    |                           |                       |                                 | 13,937,292.09               | 6,329,795.85            | 35,186,556.00               |                                 |                                   |                            | -                             | 55,453,643.94           |
| Other(Specify)                                     |                           | -                     |                                 |                             | 142115.05               | 2,275,076.00                | -                               |                                   | -                          | -                             | 2,417,191.05            |
| <b>Total non-current investment assets</b>         | <b>915,931.43</b>         | <b>213,961,412.45</b> | <b>2,570,013.44</b>             | <b>57,864,354.22</b>        | <b>460,811,020.13</b>   | <b>1,146,731,619.00</b>     | <b>17,716,352.52</b>            | <b>896,877,441.26</b>             | <b>1,005,245.08</b>        | <b>14,285,045.11</b>          | <b>2,812,738,434.64</b> |
| <b>Investment Assets (Current)</b>                 |                           |                       |                                 |                             |                         |                             |                                 |                                   |                            |                               |                         |
| Prescribed Assets - Government Stock               |                           | -                     |                                 |                             | 28,214.84               | -                           | -                               | -                                 | 41,373.10                  | 425,134.64                    | 494,722.58              |
| - Other prescribed assets                          |                           | 3,234,032.27          |                                 |                             | -                       | -                           | -                               | -                                 | -                          | 75,634.72                     | 3,309,666.99            |
| Cash at Bank                                       | 19,087.00                 | 1,993,432.14          | 38,988.58                       | 2,622,665.02                | 6,774,008.92            | 29,315,295.11               | 718,139.47                      | 23,655,488.88                     | 18,223.05                  | 627,702.44                    | 65,783,030.61           |
| Money Market Investments                           |                           | 19,100,638.20         | 62,032.10                       | 1,680,432.29                | 13,192,414.41           | 11,702,910.00               | 1,818,799.94                    | 21,541,440.92                     | 6,263.38                   | 212,132.52                    | 69,317,063.77           |
| Staff loans                                        |                           | -                     |                                 | -                           | 26,613.68               | -                           | -                               | -                                 |                            |                               | 26,613.68               |
| Dividends and interest receivable                  |                           | 300,059.85            |                                 | -                           | 1,151,321.75            | 353,812.00                  |                                 |                                   |                            |                               | 1,805,193.60            |
| Other ( Specify)                                   |                           | 46,870.49             |                                 | -                           | 540,833.37              | 2,007,776.00                | 118,653.67                      | 137,116.73                        | 43,487.87                  |                               | 2,894,738.13            |
| <b>Total current investment assets</b>             | <b>19,087.00</b>          | <b>24,675,032.95</b>  | <b>101,020.68</b>               | <b>4,303,097.31</b>         | <b>21,713,406.97</b>    | <b>43,379,793.11</b>        | <b>2,655,593.08</b>             | <b>45,334,046.54</b>              | <b>109,347.40</b>          | <b>1,340,604.32</b>           | <b>143,631,029.36</b>   |
| Contribution arrears *                             | 135,653.80                | 21,866,375.81         | 1,755,195.16                    | 25,606,439.10               | 14,370,567.59           | 8,049,638.00                | 307,539.70                      | 8,330,887.00                      | 706,676.73                 | 20,980.00                     | 81,149,952.89           |
| Rental arrears*                                    | 113,960.00                |                       |                                 | 3,931.26                    | 241,699.08              | 2,008,632.00                |                                 | 1,983,241.00                      |                            | 43,852.00                     | 4,395,315.34            |
| Group Life Assurance contribution arrears          |                           | 799,801.41            |                                 |                             | -                       | -                           |                                 |                                   |                            |                               | 799,801.41              |
| Other (Specify)                                    | -                         |                       |                                 | 602,102.32                  | -                       | 6,109,771.00                |                                 | 264,237.00                        |                            | -                             | 6,976,110.32            |
| <b>TOTAL ASSETS</b>                                | <b>1,184,632.23</b>       | <b>261,302,622.62</b> | <b>4,426,229.28</b>             | <b>88,379,924.21</b>        | <b>497,136,693.77</b>   | <b>1,206,279,453.11</b>     | <b>20,679,485.30</b>            | <b>952,789,852.80</b>             | <b>1,821,269.21</b>        | <b>15,690,481.43</b>          | <b>3,049,690,643.94</b> |
| <b>LIABILITIES</b>                                 |                           |                       |                                 |                             |                         |                             |                                 |                                   |                            |                               |                         |
| Reserves                                           | 1,024,712.60              | 258,254,591.75        | -                               | 82,760,675.53               | 464,934,377.36          | 1,184,023,926.98            | 20,203,551.15                   | 948,691,019.80                    | 1,726,976.03               | 5,183,717.16                  | 2,966,803,548.36        |
| Provisions                                         | 59,231.61                 | 169,789.99            | 4,426,229.28                    | -                           | 435,554.92              | 707,765.00                  | 99,875.00                       | 1,330,145.00                      | -                          | 10,483,893.27                 | 17,712,484.07           |
| Deferred pension benefits                          |                           |                       |                                 | -                           | 22,635,751.51           | -                           | 42,728.68                       | -                                 | -                          | -                             | 22,678,480.19           |
| Arrear pension benefits                            | 28,464.83                 |                       |                                 | -                           | 920,827.09              | 3,463,336.00                |                                 | -                                 | 92,894.23                  |                               | 4,505,522.15            |
| Unclaimed Benefits                                 |                           |                       |                                 | 3,844,133.11                |                         | -                           |                                 |                                   |                            |                               | 3,844,133.11            |
| Sundry Creditors                                   | 72,223.19                 | 2,878,240.88          |                                 | 1,775,115.57                | 4,064,611.53            | 4,005,887.00                | 333,330.47                      | 1,267,480.00                      | 1,398.95                   | -                             | 14,398,287.59           |
| Withdrawals                                        |                           |                       |                                 | -                           | 3,998,757.99            | 11,058,126.00               |                                 | 1,341,344.00                      |                            | 16,597.00                     | 16,414,824.99           |
| Other Creditors (specify)                          |                           |                       |                                 | -                           | 146,813.37              | 3,020,412.13                |                                 | 159,864.00                        |                            | 6,274.00                      | 3,333,363.50            |
| <b>TOTAL LIABILITIES</b>                           | <b>1,184,632.23</b>       | <b>261,302,622.62</b> | <b>4,426,229.28</b>             | <b>88,379,924.20</b>        | <b>497,136,693.77</b>   | <b>1,206,279,453.11</b>     | <b>20,679,485.30</b>            | <b>952,789,852.80</b>             | <b>1,821,269.21</b>        | <b>15,690,481.43</b>          | <b>3,049,690,643.94</b> |



## Annexure 7: Consolidated Statement of Comprehensive Income for Stand-Alone Pension Funds for the 6 months ended 30 June 2019

| PENSION FUND                                                           | Catering Industry | Clothing Industry | Construction Industry | Communications and Allied Industry | GMB            | Local Authorities | Motor Industry    | Mining Industry   | NRZ                  | ZARWU         | Pentact Pension Scheme | Unified Councils | ZB Financial Holdings | ZMDC           | Zimbabwe Electricity Industry | Zesa Staff       | Total              |
|------------------------------------------------------------------------|-------------------|-------------------|-----------------------|------------------------------------|----------------|-------------------|-------------------|-------------------|----------------------|---------------|------------------------|------------------|-----------------------|----------------|-------------------------------|------------------|--------------------|
| <b>INCOME</b>                                                          |                   |                   |                       |                                    |                |                   |                   |                   |                      |               |                        |                  |                       |                |                               |                  |                    |
| Year to date Contributions (Including arrears)                         | 6,999,244         | 744,356.52        | 2,571,810             | 5,431,324.62                       | 611,224        | 14,639,229        | 2,524,606         | 26,994,792        | 5,304,317            | 11,649        | 5,857                  | 2,366,096        | 967,540               |                | 14,289,624                    | 4,381,363        | 87,843,031         |
| Interest on contribution arrears                                       |                   |                   | 168,033               | 2,205,616.03                       | 85,469         | 11,408,699        |                   | 5,190,620         | 1,292,697            |               |                        | 1,521,040        |                       | 255,923        |                               |                  | 22,128,096         |
| Transfer from other funds                                              |                   |                   |                       | -                                  |                |                   | (99,228)          | (32,733)          | -                    |               |                        | -                | (48,696)              |                |                               |                  | (181,657)          |
| Rental Income (including arrears and interest on arrears)              | 649,558           | 92,622.57         | 709,935               | 4,078,651.59                       | 47,150         | 5,459,280         | 669,326           | 2,541,488         | 7,477,850            | 5,200         |                        | 94,683           | 173,335               | 39,105         | 795,403                       | 962,739          | 23,796,326         |
| Interest from investments                                              | 92,154            | 83,890.38         | 392,529               | 759,757.27                         | 14,056         | 87,674            | 394,077           | 930,752           | 1,331,297            |               |                        | 3,515            | 266,190               | 15,625         | 2,352,706                     | 236,070          | 6,960,293          |
| Dividends from investments                                             | 319,707           | 86,260.07         | 84,091                | 195,951.56                         | 1,000          | 1,029,633         | 487,885           | 2,610,426         | 414,749              | 1,453         | 315                    | 194              | 197,700               |                | 309,234                       | 262,363          | 6,000,962          |
| GLA Premiums received (paid)                                           | -                 |                   |                       |                                    | 113,296        |                   |                   |                   |                      |               |                        | 33,984           |                       |                |                               |                  | 147,280            |
| Other Income (profit on disposals)                                     |                   |                   |                       |                                    |                |                   |                   |                   | 4,437,912            |               |                        |                  |                       |                |                               |                  | 4,437,912          |
| Other Income (unrealised profit)                                       | -                 |                   |                       |                                    |                |                   | 27,001,736        | 10,834,713        |                      |               |                        |                  |                       |                |                               |                  | 37,836,449         |
| Other Income                                                           | 130               | 1,525,551.36      | 4,151,758             | 1,360,217.20                       | 62,973         | 2,746             | 3,833,562.00      | -                 | 92,535               | -             | 113,126                | 43,552           | 377,629               | -              | 2,037,616                     | 724,363          | 14,325,759         |
| <b>TOTAL INCOME</b>                                                    | <b>8,060,793</b>  | <b>2,532,681</b>  | <b>8,078,155</b>      | <b>14,031,518</b>                  | <b>935,168</b> | <b>32,627,261</b> | <b>34,811,964</b> | <b>49,070,058</b> | <b>20,351,356.44</b> | <b>18,302</b> | <b>119,498</b>         | <b>4,063,064</b> | <b>1,932,698</b>      | <b>310,653</b> | <b>19,784,583</b>             | <b>6,566,898</b> | <b>203,294,451</b> |
| <b>EXPENDITURE</b>                                                     |                   |                   |                       |                                    |                |                   |                   |                   |                      |               |                        |                  |                       |                |                               |                  |                    |
| <b>Benefits Paid</b>                                                   |                   |                   |                       |                                    |                |                   |                   |                   |                      |               |                        |                  |                       |                |                               |                  |                    |
| Year to date monthly pension benefits                                  | 87,984            | -                 | 50,539                | 5,045,064.09                       | 10,597.00      | 8,622,678         | 70,431            | 4,550,532         | 10,464,621           | 4,611         |                        | 107,113          | 188,461               | 48,858         | 528,700                       | 4,403,547        | 34,184,736         |
| Retirements and retirements                                            | -                 |                   |                       |                                    |                |                   |                   |                   |                      |               |                        | 354,576          |                       |                |                               |                  | 354,576            |
| Full/ Part commutations after 1/3                                      | 92,661            | 62,651.80         |                       | -                                  | 295,523.00     |                   | 763,236           | 62,117            |                      |               |                        |                  | 39,679                |                |                               |                  | 1,315,868          |
| Withdrawals (resignations and dismissals)                              |                   |                   |                       |                                    |                |                   |                   |                   |                      |               |                        | 117,933          |                       |                |                               |                  | 117,933            |
| Death benefit                                                          |                   |                   | 29,488                | 22,097.75                          |                |                   | 51,081            | 139,777           | 29,171               |               |                        | 190,303          |                       |                |                               |                  | 461,918            |
| Other benefits                                                         | 276,385           | -                 | 618,006               | 787,337.19                         | 0              | 4,792,124         | 352,161           | 264,992           | 702,182              | -             | -                      | -                | 76,251                | 9,218          | 1,136,418                     | 218,081          | 9,233,155          |
| <b>Total Benefits Paid</b>                                             | <b>457,030</b>    | <b>62,652</b>     | <b>698,033</b>        | <b>5,854,469</b>                   | <b>306,120</b> | <b>13,414,802</b> | <b>1,236,909</b>  | <b>5,017,418</b>  | <b>11,195,974</b>    | <b>4,611</b>  | <b>-</b>               | <b>769,925</b>   | <b>305,391</b>        | <b>58,076</b>  | <b>1,665,118</b>              | <b>4,621,628</b> | <b>45,668,186</b>  |
| <b>Deductions by NEC</b>                                               |                   |                   | 1,219                 |                                    |                |                   |                   |                   | 532                  |               |                        |                  |                       |                |                               |                  | 1,751              |
| Staff costs                                                            | 240,550           | 207,370.79        | 560,747               | 384,680.50                         | 177,214.00     | 1,066,592         | 413,636           | 2,084,240         | 855,872.42           | 2,059.86      |                        | 232,187.00       |                       |                | 451,497                       | 307,573          | 6,984,220          |
| Admin Expenses                                                         | 107,446           | 121,157.76        | 481,421               | 154,514.94                         | 113,350.00     | 571,937           | 300,617           | 1,019,193         | 508,980              |               |                        | 160,142          |                       | 1,168          | 562,272                       | 127,799          | 4,229,998          |
| Investment Management Expenses/Investment Advisory Services            | 9,000             | 5,450.52          | 41,431                | -                                  |                |                   | 243,613           | 121,329           | 208,781              |               | 325                    |                  | 113,737               |                | 117,131                       | 135,026          | 995,825            |
| Actuarial fees                                                         | 9,000             | 4,549.98          | 3,500                 |                                    |                | 19,160            | 10,500            | 48,596            | 33,540               |               |                        |                  | 2,355                 |                | 48,325                        | 26,741           | 206,267            |
| Audit fees                                                             | 9,240             | 4,442.00          | -                     | 30,309.70                          | 9,449.00       | -                 | 11,164            | 59,154            | 16,269               |               |                        |                  | 4,025                 |                | 45,065                        | 6,815            | 195,933            |
| Legal fees                                                             | 5,074             | 24,666.71         | 12,388                | 80,245.69                          | -              | 62,957            | 2,389             | 32,254            | 10,105               |               |                        | 75,811           |                       |                |                               |                  | 305,890            |
| Board expenses                                                         | 9,930             | 22,800.00         | 49,697                | 78,490.27                          | 32,830.00      | 144,295           | 60,737            | 116,951           | 167,964              | 800           |                        | 317,514          |                       |                | 156,271                       | 74,296           | 1,232,575          |
| IPEC Levies                                                            | 13,565            | 28,118.86         | 20,115                | 24,853.96                          | 8,634.00       | 41,258            | 33,855            | 34,723            | 71,890               | 1,268         | 642                    | 16,268           | 17302                 |                | 9,886                         | 4,951            | 327,328            |
| Bank Charges                                                           | 5,343             | 14,225.04         | 99,539                | 99,280.91                          | 111,486.43     | 61,763            | 14,615            | 242,971           | 78,855               | 275           |                        | 33,165           | 68                    | 2,177          | 173,573                       | 122,200          | 1,059,536          |
| Subscriptions i.e. ZAPP                                                | 3,360             | 3,657.00          | 8,231                 | 1,680.00                           | 1,594.00       | 3,360             | 8,408             | 21,928            | 5,650                |               |                        | 3,575            | 3360                  |                | 3,360                         | 3,360            | 71,523             |
| Property Expenses                                                      | 229,657           | 115,491.03        | 203,255               | 360,670.49                         | 20,932.00      | 275,490           | 46,781            | 1,885,193         | 1,394,198            |               |                        | 317,386          | 15094                 | 13,707         | 248,907                       | 825,284          | 5,952,046          |
| Transfer to reserves                                                   |                   | 124,059.42        |                       | 36,648                             |                |                   |                   |                   |                      |               |                        |                  |                       |                |                               |                  | 160,708            |
| Provision for bad debts, Depreciation, amortisation and other expenses |                   | 11,927            |                       | 935,379.09                         | 4,500          |                   |                   |                   |                      |               |                        |                  |                       |                |                               |                  | 951,806            |
| Other expenses:1)Specify                                               | 392,088           | -                 | -                     | -                                  | -              | 3,428,413         | 80,464            |                   |                      | -             | 651                    | 459,831          | 22810                 | -              | -                             | -                | 4,384,257          |
| <b>Total Fund Administration expenses</b>                              | <b>1,034,253</b>  | <b>687,916</b>    | <b>1,481,543</b>      | <b>2,186,754</b>                   | <b>479,989</b> | <b>5,675,225</b>  | <b>1,226,779</b>  | <b>5,666,532</b>  | <b>3,352,637</b>     | <b>4,402</b>  | <b>1,618</b>           | <b>1,615,879</b> | <b>178,751</b>        | <b>17,052</b>  | <b>1,816,287</b>              | <b>1,634,045</b> | <b>27,059,663</b>  |
| <b>TOTAL EXPENDITURE</b>                                               | <b>1,491,283</b>  | <b>750,568</b>    | <b>2,179,576</b>      | <b>8,041,253</b>                   | <b>786,109</b> | <b>19,090,027</b> | <b>2,463,688</b>  | <b>10,683,950</b> | <b>14,548,611</b>    | <b>9,013</b>  | <b>1,618</b>           | <b>2,385,804</b> | <b>484,142</b>        | <b>75,128</b>  | <b>3,481,405</b>              | <b>6,255,673</b> | <b>72,727,849</b>  |
| <b>SURPLUS/(DEFICIT)</b>                                               | <b>6,569,510</b>  | <b>1,782,113</b>  | <b>5,898,579</b>      | <b>5,990,266</b>                   | <b>149,059</b> | <b>13,537,234</b> | <b>32,348,276</b> | <b>38,386,108</b> | <b>5,802,745</b>     | <b>9,289</b>  | <b>117,680.44</b>      | <b>1,677,260</b> | <b>1,448,556</b>      | <b>235,525</b> | <b>16,363,178</b>             | <b>311,225</b>   | <b>130,566,602</b> |

## Annexure 8: Consolidated Statement of Financial Position for Stand-Alone Pension Funds as at 30 June 2019

| FUND                                              | Catering Industry | Clothing Industry | Construction Industry | Communications and Allied Industry | GMB        | ZARWU   | Local Authorities | Mining Industry | Motor Industry | NRZ         | Pentact Pension Scheme | Unified Councils | ZB Financial Holdings | ZMDC*       | Zimbabwe Electricity Industry | Zesa Staff | Total         |
|---------------------------------------------------|-------------------|-------------------|-----------------------|------------------------------------|------------|---------|-------------------|-----------------|----------------|-------------|------------------------|------------------|-----------------------|-------------|-------------------------------|------------|---------------|
| <b>ASSETS</b>                                     |                   |                   |                       |                                    |            |         |                   |                 |                |             |                        |                  |                       |             |                               |            |               |
| Operating Assets                                  |                   |                   |                       |                                    |            |         |                   |                 |                |             |                        |                  |                       |             |                               |            |               |
| Property                                          | 237,122           |                   |                       |                                    | 600,000    | 236,780 |                   |                 |                |             |                        | 410,000          |                       | 1,574,000   |                               |            | 3,057,902     |
| Motor vehicles                                    | 63,315            | 35,437            | 22,398                | 489,141.21                         | -          |         | 479,855           | 496,647         | 64,220         | 184,750     |                        | 29,494           |                       |             | 209,186                       |            | 2,074,443     |
| Computer systems and equipment                    | 300,235           | 19,927            | 129,624               | 170,129.00                         | 5,077      |         | 117,360           | 285,357         | 139,804        | 51,351      |                        | 37,062           |                       |             | 268,134                       |            | 1,524,060     |
| Furniture and equipment                           | 98,770            |                   | 54,669                | 57,681.69                          | 1,640      |         | 106,774           | 70,347          | 45,826         |             |                        | 12,069           |                       |             | 392,095                       | 11,039     | 850,910       |
| Other (Specify)                                   |                   |                   |                       |                                    |            |         |                   |                 |                | 15,004      |                        |                  |                       |             |                               |            | 15,004        |
| Total operating assets                            | 699,442           | 55,364            | 206,692               | 716,952                            | 606,717    | 236,780 | 703,989           | 852,351         | 249,850        | 251,105     | -                      | 488,625          | -                     | 1,574,000   | 869,415                       | 11,039     | 7,522,320     |
| Investment Assets (Non-Current)                   |                   |                   |                       |                                    |            |         |                   |                 |                |             |                        |                  |                       |             |                               |            |               |
| Investment Property                               | 9,558,030         | 14,430,000        | 27,495,487            | 104,070,000.00                     | 8,825,000  |         | 48,739,426        | 99,817,000      | 33,839,909     | 223,280,000 |                        | 7,861,411        | 19,280,060            | 1,300,956   | 49,015,011                    | 17,541,892 | 665,054,182   |
| Equities - Quoted                                 | 5,647,796         | 3,581,433         | 12,671,364            | 35,581,690.62                      | 2,808      |         | 17,181,247        | 279,324,793     | 52,381,076     | 60,219,371  | 35,392                 | 55,613           | 25,594,277            | 353,134     | 42,300,192                    | 33,178,253 | 568,108,439   |
| - Unquoted                                        |                   |                   |                       | 110,374.88                         |            | 85,935  | 9,353,743         | 10,972,214      | 863,049        | 225,534     |                        |                  | -                     |             | 4,052                         | 58,508     | 21,673,409    |
| Prescribed Assets - Government Stock              | 3,354,847         |                   |                       | 8,814,166.82                       |            |         | 100,000           | 14,949,000      | 2,381,195      |             |                        |                  | 2,097,528             |             | 19,264,091                    | 881,000    | 51,841,828    |
| - Other prescribed assets                         |                   | 233,009           | 1,285,800             |                                    |            |         |                   |                 | 6,268,071      | 4,316,838   |                        | 79,058           | 3,239,901             |             |                               |            | 15,422,677    |
| Fixed interest securities e.g. private bonds      |                   |                   |                       | 949,185.89                         |            |         |                   | 3,800,000       | 128,494        | 128,648     |                        |                  | 296,373               | 100,000     |                               |            | 5,402,701     |
| Loans and Mortgages on Property (excluding staff) |                   |                   |                       | 4,298,119.99                       | 522,330    |         |                   |                 | 978,971        | 3,631,029   |                        |                  | 1,877,764             |             | 19,916,161                    |            | 31,224,375    |
| Staff loans and Mortgages                         |                   |                   | 285,123               | 65,939.41                          |            |         |                   |                 | 68,719         | 466,107     |                        |                  | 299,809               |             | 154,551                       |            | 1,340,248     |
| Other loans                                       |                   |                   | 121,854               |                                    |            |         |                   |                 |                |             |                        |                  |                       |             |                               |            | 121,854       |
| External Assets                                   |                   |                   |                       |                                    |            |         |                   |                 |                | 85,669,654  |                        |                  |                       |             |                               |            | 85,669,654    |
| Long-term deposits                                |                   |                   |                       | 10,370,596                         |            |         |                   |                 |                |             |                        |                  |                       |             |                               |            | 10,370,596    |
| Guaranteed funds                                  |                   |                   |                       |                                    |            |         |                   | 3,689,069       |                |             |                        |                  |                       |             | 5,512,534                     |            | 9,201,603     |
| Other                                             |                   | 2,669,416         |                       |                                    |            |         | 630,608           | 419,949         | 6,843,655      | 32,632,823  | 510,325                |                  | 5,888,202             |             | 549,966                       |            | 50,144,944    |
| Total non-current investment assets               | 18,560,673        | 20,913,858        | 41,859,627            | 164,260,074                        | 9,350,138  | 85,935  | 76,005,024        | 412,972,025     | 103,753,139    | 410,570,002 | 545,717                | 8,295,891        | 58,274,105            | 1,754,090   | 136,716,558                   | 51,659,653 | 1,515,576,510 |
| Investment Assets (Current)                       |                   |                   |                       |                                    |            |         |                   |                 |                |             |                        |                  |                       |             |                               |            |               |
| Prescribed Assets - Government Stock              |                   |                   |                       |                                    |            |         |                   | 3,174,445       |                | 7,700,000   |                        |                  |                       |             | 962,016                       |            | 11,836,461    |
| - Other prescribed assets                         |                   |                   |                       |                                    | 1,353,312  |         |                   |                 |                |             |                        |                  |                       |             |                               |            | 1,353,312     |
| Fixed interest securities                         |                   |                   |                       |                                    |            |         |                   |                 |                |             |                        |                  |                       |             |                               |            | -             |
| Cash at Bank                                      |                   | 487,340           | 745,520               | 968,586.74                         | 3,001,303  | 5,046   | 1,988,312         | 8,809,107       | 356,625        | 2,565,748   |                        | 18,373           | 1,681,687             | 251,580     | 2,434,168                     | 2,892,013  | 26,205,407    |
| Money Market investments                          | 590,337           | 3,783,258         | 1,127,970             | 3,872,998.53                       | 748,156    |         |                   | 6,661,205       | 505,939        | 466,211     |                        |                  | 1,730,495             | 87,265      | 46,937,445                    | 4,550,926  | 71,062,205    |
| Staff loans                                       |                   | 9,447             |                       |                                    |            |         |                   | 680,908         | 28,227         | 10,281      |                        |                  | 17,300                |             |                               |            | 746,163       |
| Dividends and interest receivable                 |                   | 86,260            |                       | 583,980.92                         |            |         | 575,638           | 336,880         | 104,484        |             |                        |                  | 104,409               |             | 394,578                       | 167,465    | 2,353,695     |
| Other (Specify)                                   | 1,229,287         |                   | 4,235,123             | 92,150.96                          |            | 93,251  | 70,619            | 114,039         | 919,274        | 152,778     |                        | 5,820            | 310,307               |             | 7,182,357                     | 8,013,590  | 22,418,596    |
| Total current investment assets                   | 1,819,624         | 4,366,305         | 6,108,612             | 5,517,717                          | 5,102,772  | 98,297  | 2,634,569         | 19,776,584      | 1,914,549      | 10,895,017  | -                      | 41,493           | 3,826,898             | 338,845     | 57,910,564                    | 15,623,994 | 135,975,840   |
| Contribution arrears *                            | 5,307,153         | 1,682,029         | 1,097,972             | 45,118,517.17                      | 81,140     |         | 213,679,581       | 127,635,505     | 4,946,270      | 30,229,146  |                        | 33,628,277       |                       | 2,083,411   | 52,233,308                    | 9,666,849  | 527,389,157   |
| Rental arrears*                                   | 372,365           | 754,767           | 24,814                | 13,902,517.92                      | 22,805     |         | 9,086,972         | 6,608,713       | 120,807        | 8,529,046   |                        | 55,512           | 8,047                 | 147,787     | 96,300                        | 273,403    | 40,003,855    |
| Other                                             |                   |                   | 2,724,307             |                                    | 75,831     |         |                   | 2,223,655       |                |             |                        |                  | 320                   | 2,204       |                               |            | 5,026,317     |
| Group Life Assurance contribution arrears         |                   |                   |                       |                                    | 107,211    |         |                   |                 |                |             |                        |                  |                       |             |                               |            | 107,211       |
| TOTAL ASSETS                                      | 26,759,257        | 27,772,323        | 52,022,023            | 229,515,778                        | 15,346,613 | 421,012 | 302,110,135       | 570,068,833     | 110,984,615    | 460,474,316 | 545,717                | 42,509,798       | 62,109,370            | 5,900,338   | 247,826,145                   | 77,234,938 | 2,231,601,210 |
| <b>LIABILITIES</b>                                |                   |                   |                       |                                    |            |         |                   |                 |                |             |                        |                  |                       |             |                               |            |               |
| Reserves                                          | 26,414,612        | 18,059,907        | 51,378,291            | 101,177,437                        | 2,977,375  | 410,321 | 246,240,254       | 95,215,779      | 108,551,297    | 455,805,939 | 543,856                | 38,798,429       | 62,012,926            | 3,534,850   | 244,828,419                   | 75,023,915 | 1,530,973,607 |
| Provisions                                        | 108,461.00        | 2,873,731         | 217,219               | 81,506,815                         | 8,659,403  |         | 199,304           | 376,537,471.63  | 2,302,924      |             |                        | 2,916,136        |                       | 2,948,511   |                               |            | 478,269,976   |
| Deferred pension benefits                         |                   | 580,172           |                       | 35,850,016.00                      | 396,052    |         |                   | 62,473,552      |                |             |                        |                  |                       |             |                               |            | 99,299,792    |
| Arrear pension benefits                           |                   |                   |                       |                                    | 1,002,947  |         | 55,670,577        | 15,317,581      |                | 424,238     |                        | 227,844          | 36,215                | 583,165     |                               |            | 73,262,567    |
| Unclaimed Benefits                                |                   | 2,816,243         |                       | 10,453,198                         |            |         |                   | 13,543,414      |                | 2,878,872   |                        |                  |                       | 212,757     |                               |            | 29,904,484    |
| Sundry Creditors                                  | 16,548            | 154,691           | 426,513               | 437,945.93                         | 2,310,836  | 10,691  |                   | 6,981,035       | 77,631         | 1,365,266   | 1,861                  | 548,153          |                       |             | 1,764,006                     | 1,113,840  | 15,209,018    |
| Withdrawals                                       |                   | 312,003           |                       |                                    |            |         |                   |                 | 386,143        |             |                        |                  |                       |             |                               |            | 698,146       |
| Others                                            | 219,636           | 2,975,576         |                       | 90,366.25                          |            |         |                   |                 | (333,380)      |             |                        | 19,235           | 60,229                |             | 1,233,720                     | 1,097,183  | 5,362,566     |
| TOTAL LIABILITIES                                 | 26,759,257        | 27,772,323        | 52,022,023            | 229,515,778                        | 15,346,613 | 421,012 | 302,110,135       | 570,068,833     | 110,984,615    | 460,474,316 | 545,717                | 42,509,797       | 62,109,370            | 7,279,283   | 247,826,145                   | 77,234,938 | 2,232,980,155 |
| NET ASSETS AVAILABLE FOR BENEFITS                 | -                 | 0                 | (0)                   | (0)                                | 0          | 0       | -                 | (0)             | -              | (0)         | 0                      | 0                | -                     | (1,378,945) | -                             | -          | (1,378,945)   |

